

# Bank of Kigali Investor Presentation Full Year 2013

# Disclaimer

This presentation contains statements that constitute “forward-looking statements”, including, but not limited to, statements relating to the implementation of strategic initiatives and other statements relating to our business development and financial performance.

While these forward-looking statements represent our judgments and future expectations concerning the development of our business, a number of risks, uncertainties and other factors could cause actual developments and results to differ materially from our expectations.

These factors include, but are not limited to, (1) general market, macroeconomic, governmental policies, legislative and regulatory trends, (2) movements in local and international currency exchange rates, interest rates and securities markets, (3) competitive pressures, (4) technological developments, (5) changes in the financial position or credit worthiness of our customers, obligors and counterparties and developments in the markets in which they operate, (6) management changes and changes to the Bank’s structure and (7) other key factors that we have indicated could adversely affect our business and financial performance, which are contained elsewhere in this presentation and in our past and future filings and reports, including those filed with the National Bank of Rwanda and the Rwanda Stock Exchange.

We are under no obligation (and expressly disclaim any such obligations to) update or alter our forward-looking statements whether as a result of new information, future events, or otherwise.

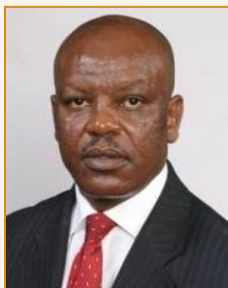
# Key Executives



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# Agenda

1. Key Investment Highlights
2. Country Overview Information
3. Banking Sector Overview
4. Bank Overview
5. Corporate Governance
6. Business Overview
7. Review of Financial Performance In 2012 & 2013
8. Strategic Outlook
9. Contact Information

# Key Investment Highlights

## 1. Best Bank in Rwanda 2013



## 2. Best East African Bank 2012



## 3. Bank of the Year 2009-2012



## 4. Best Bank in Rwanda 2009-2013



## 5. Best African Listing



## 6. Best Financial Reporting Company 2012, Rwanda



## 7. AA-/A1 Credit Rating



The rating reflects the Bank's established domestic franchise value, strong capital position, its systemic importance, strong asset quality and financial performance.

### Sound Macro Fundamentals

- Politically stable country with sound governance
- Very attractive demographic profile: population of 10.5 million with 83% below the age of 40
- Robust economic growth of 4.1% - 8 % between 2006-2012 and 7.2% expected for 2014
- Moderate inflation: Inflation at 3.7% in December 2013
- Very friendly business environment, ranked fifth-best destination for investment in the world according to the 2013 Baseline Profitability Index (BPI)

### Significant Banking Sector Potential

- Significant headroom for growth given low banking penetration
- Total assets/GDP of 29%
- Large unbanked population of approximately 77%
- Well regulated banking sector: fairly conservative regulator relative to regulators in the EAC

### Market Leadership

- Market leadership by
  - Total assets (RwF 422.4 billion- December 2013) – 35.6% market share
  - Net Loans (RwF 199.0 billion–December 2013) – 30.4% market share
  - Customer Deposits (RwF 280.5 billion–December 2013) –32.5% market share
  - Shareholders' equity (RwF 70.8 billion–December 2013) –42.1% market share

### Conservative Business Model

- Relatively high capital adequacy ratios ranging from 19.9% - 23.7% between 2009 and 2013
- Manageable level of non-performing loans – 6.9% of gross loans in 2013, down from 19.4% in 2007
- Net loans to customer deposits ratio of 71% in 2013.

### Experienced Management Team

- Management team with significant banking sector experience
- Complemented by an experienced and diversified Board of Directors
- Track record of producing stellar results

### Profitable Growth

- Robust asset growth at a CAGR of 29.1% (2009-2013) - RWF 422.4 billion in 2013
- ROAA ranging from 3.0% - 4.0% between 2006 and 2013

# COUNTRY OVERVIEW INFORMATION



# Rwanda – Country Profile

## National Facts

|                                       |                                                           |
|---------------------------------------|-----------------------------------------------------------|
| <b>Area</b>                           | 26,338 sq km                                              |
| <b>Population</b>                     | 10.5 million                                              |
| <b>Official Languages</b>             | Kinyarwanda, French, English                              |
| <b>Capital</b>                        | Kigali                                                    |
| <b>Currency</b>                       | Rwandan Franc (RWF)                                       |
| <b>Credit Rating</b>                  | B/Positive (Fitch Ratings)<br>B/Stable (Standard & Poors) |
| <b>Nominal GDP (2013 )</b>            | US\$ 7.2 billion                                          |
| <b>Nominal GDP Per Capita (2013 )</b> | US\$ 693                                                  |

## Macro Economic Indicators

|                                              |                   |
|----------------------------------------------|-------------------|
| <b>Real GDP Growth Rate 2013</b>             | 4.6%              |
| <b>Real GDP Growth Rate 2014E</b>            | 7.2%              |
| <b>Inflation Rate (December 2013)</b>        | 3.7%              |
| <b>Private Sector Credit Growth</b>          | 12.9%             |
| <b>Current-account deficit as a % of GDP</b> | 10.4%             |
| <b>External Debt to GDP</b>                  | 29%               |
| <b>Currency Depreciation against USD</b>     | 6.1%              |
| <b>FDI as % of GDP (2013)</b>                | 2.2%              |
| <b>Official Reserves</b>                     | 4 mths of imports |

Source: IMF, CIA World Factbook, Ministry of Finance and Economic Planning, National Institute of Statistics Rwanda, and National Bank of Rwanda,

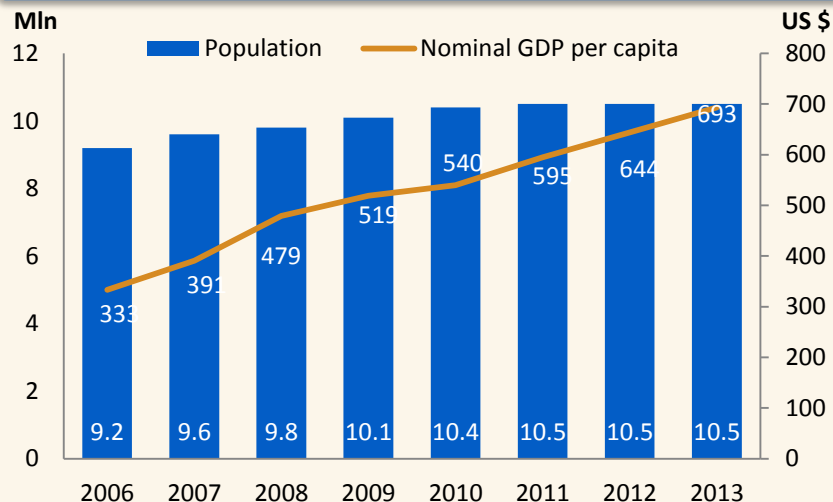
## Business Environment

- Ranked fifth-best destination for investment in the world according to the 2013 Baseline Profitability Index(BPI) which surveyed 102 countries world wide. Countries were ranked by three main components of the index: asset growth, preservation of value, and repatriation of capital
- Since 2005, Rwanda has implemented over 22 business regulation reforms in the areas measured by the World Bank Doing Business Index.
- Today, entrepreneurs can register a new business online in 6 hours

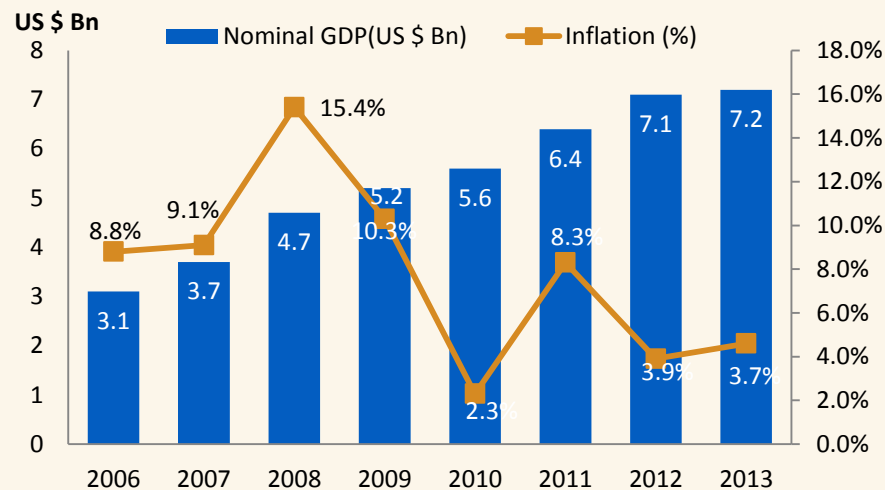


# Sound Macro Fundamentals

## GDP per Capita continues to grow

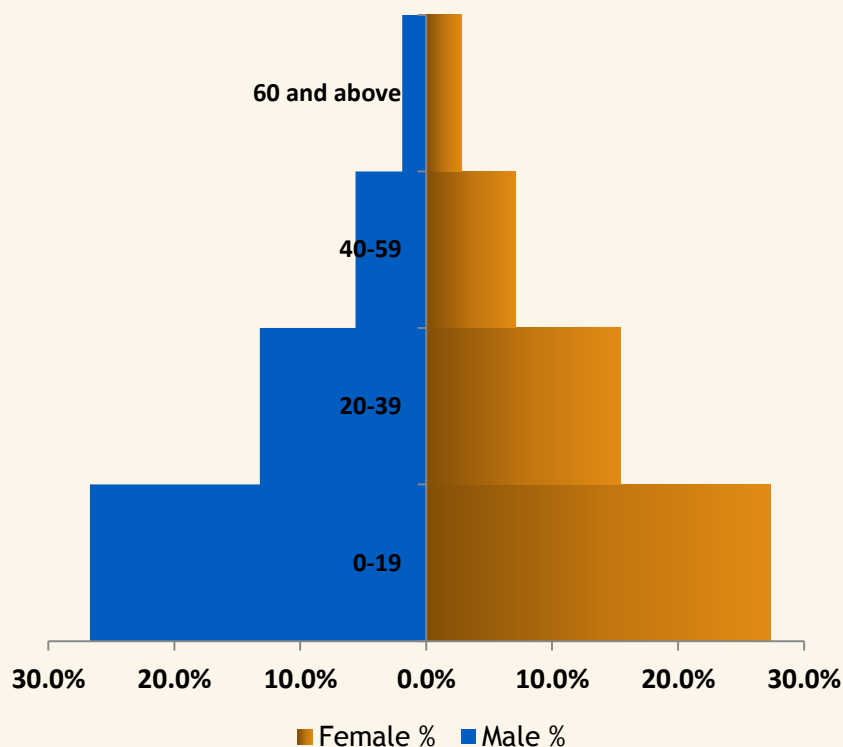


## Healthy GDP growth with moderating inflation



Source: Ministry of Finance and Economic Planning, IMF

## Population Pyramid for Rwanda



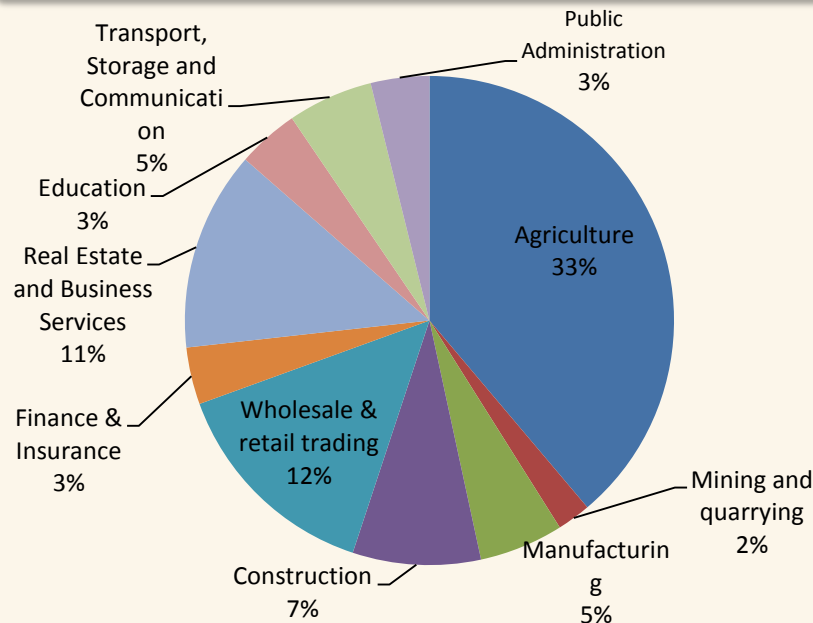
- 54% of the population is under 19 years.
- 83% of the population is under 40 years.
- 3% of the population over 65 years.

Source: National Institute of Statistics Rwanda



# Macroeconomic Indicators

## GDP Breakdown By Economic Activity 2013



Source: National Institute of Statistics Rwanda

## Trade Deficit as a % of GDP



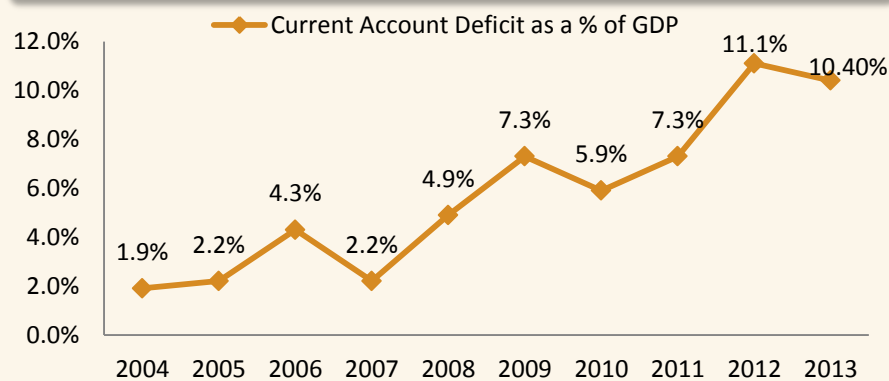
Source: Ministry of Finance and Economic Planning, IMF

## Trade Structure

- Rwanda's exports are dominated by coffee, tea and minerals (tin, coltan and wolfram).
- The country remains a net importer. Major imports include fuel and oils, intermediary goods especially construction materials, consumer goods, and capital goods.
- Informal cross-border trade is a significant component of Rwandan external trade (approx. 19.4% of formal exports). 75% of these exports are destined to DRC.
- Official reserves were estimated at 4 months of goods imports as of Dec 2013

Source: NBR Monetary Policy Statement

## Current Account Deficit as a % of GDP



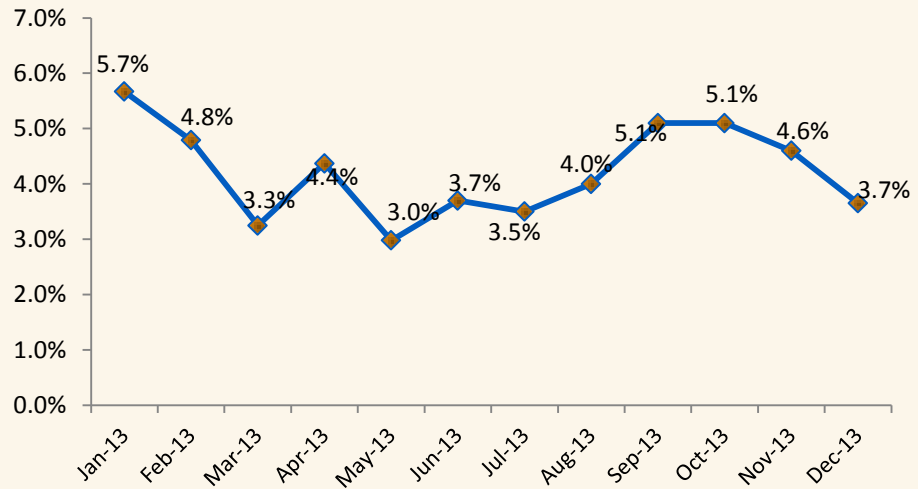
Source: National Institute of Statistics Rwanda

# Review of the Macro Economic Environment 2013

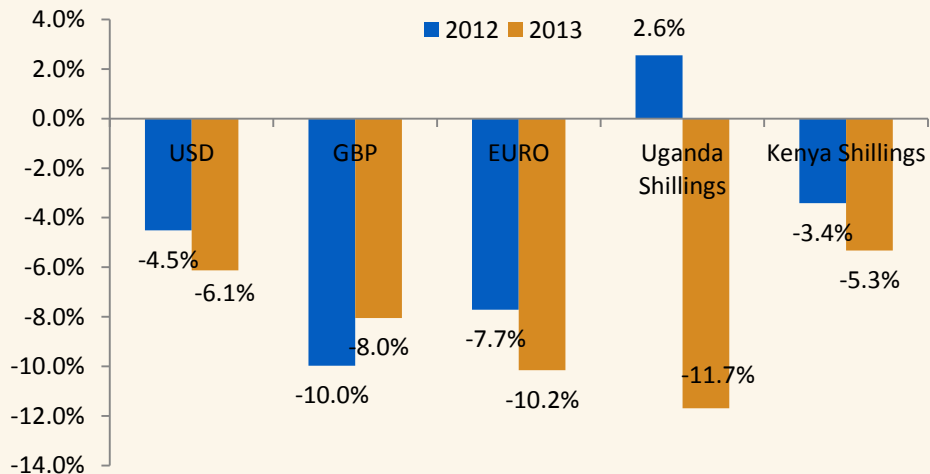
## Macro Economic Review

- Real GDP growth stood at 4.6 % lower than the forecasted growth of 7.5%
- The growth was driven by the industry and service sectors which grew by 11% and 4% respectively and together contributed 3.3% to total GDP growth.
- The annual headline inflation fell slightly to 3.7% in December 2013 down from 3.9% in December 2012.
- The Central Bank policy rate was reduced from 7.5% in May 2012 to 7% in June 2013 and has since remained to date
- The export sector has continued to record good performance in 2013 with formal exports value standing at USD 573 million, representing an annual increase of 18.7%. Including informal cross border trade, exports covered 30% of imports from 27.7% in 2012.
- Minerals accounted for 65.4% of the value of traditional exports driven by an increase in international prices for minerals such as coltan whose value exported increased by 136.5%
- Imports grew by 4.3% in volume dominated by intermediary goods such as industrial products and construction materials

## Inflationary Environment Jan - Dec 2013



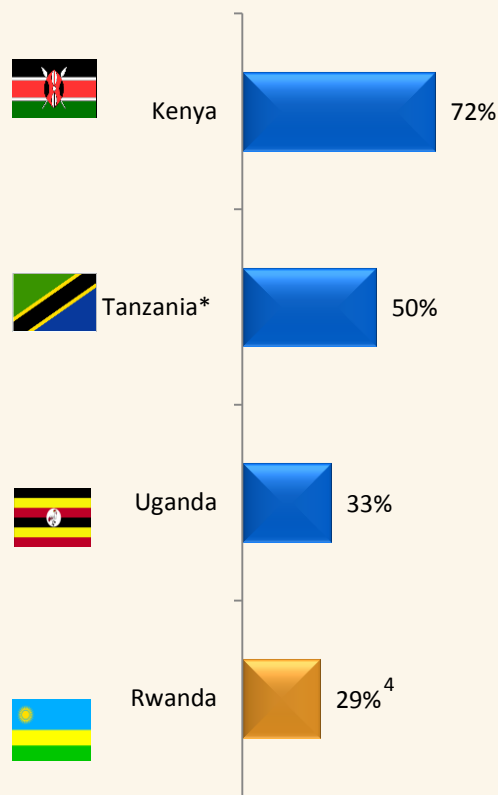
## Exchange Rate Developments 2013



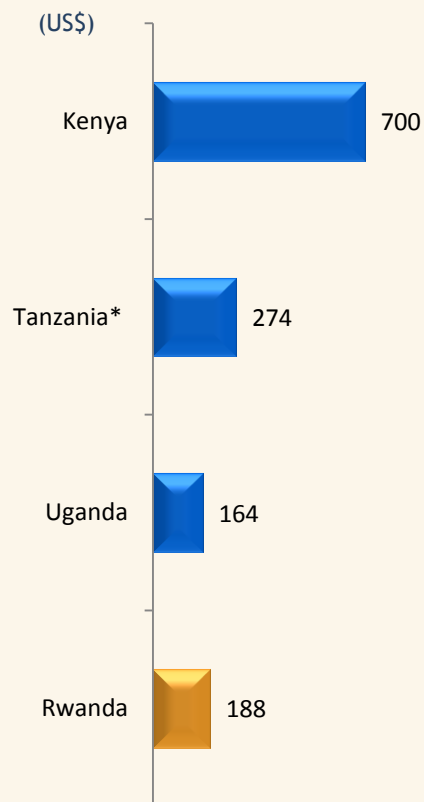
# BANKING SECTOR OVERVIEW

# Significant Banking Sector Potential

## 2012 Banking Assets/GDP



## 2012 Banking Assets Per Capita<sup>5</sup>



## Large Unbanked Population

- Economy is moving away from being cash based through the various financial inclusion initiatives being undertaken by financial institutions including the launch of agency banking and mobile money transfer services
- Approximately 72% of the population have or use financial products or mechanisms including those offered by non- bank formal financial institutions such as SACCOs

Source: Finscope Rwanda 2012

## Prudential Regulations

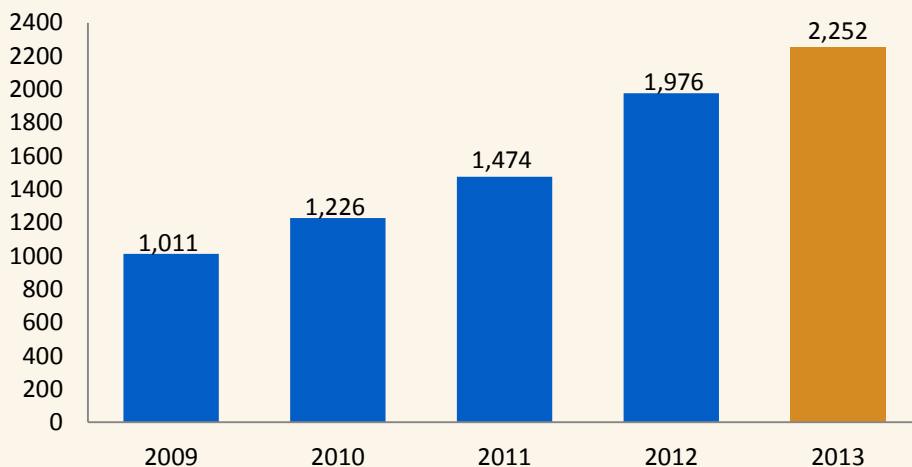
|                             |                         |
|-----------------------------|-------------------------|
| CAR (Tier One)              | 10%                     |
| Total CAR                   | 15%                     |
| Liquidity Ratio             | 20%                     |
| Reserve Requirement         | 5% of total deposits    |
| Lending in foreign currency | Restricted to exporters |

- (1) Source: Central Bank of Kenya and IMF Economic Outlook Database April 2013  
 (2) Source: IMF and Tanzania Banking Survey 2011 (Serengeti Advisers)  
 (3) Source: Bank of Uganda Financial Stability Report June 2012  
 (4) Source: IMF 2013 Estimates & National Bank of Rwanda 9M 2013 data  
 (5) Source: Population stats by IMF  
 \*2011 figures are used for Tanzania

# Banking Sector Overview

## Rwanda Banking System Total Assets

USD Mln



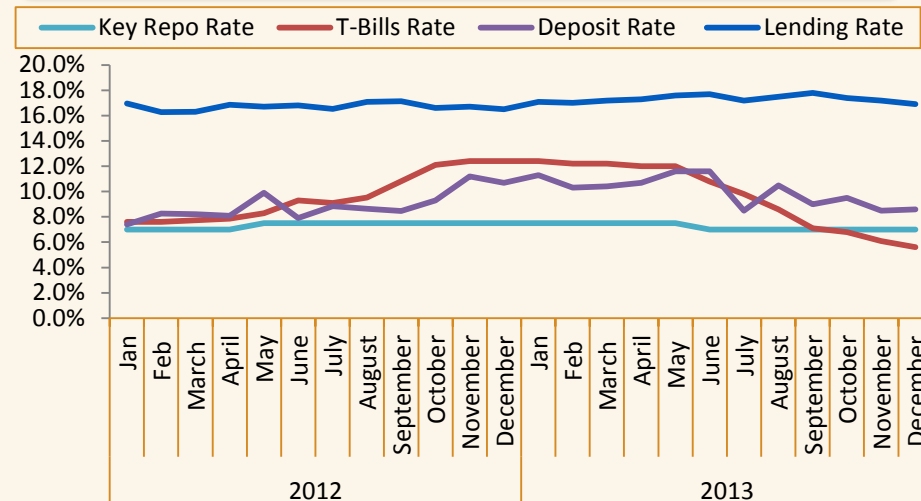
Source: NBR Monetary Policy Statement for the year ended 31 December 2013

## Banking Sector Review 2013

- As at end of 2013, total CAR stood at 23.1% (YE 2012: 23.9%) well above the regulatory minimum of 15%. The sector's liquidity position stood at 49.5% (YE 2012: 41.2%).
- Gross loans in the Banking sector increased by 12.9%. The distribution of additional credit to private sector is dominated by the commerce, hospitality, public works and construction sectors and as well personal loans.
- The quality of assets improved significantly as the Non-performing loans (NPLs) to total gross loans reduced to 7.0% in 2013 (2012: 6.0%).

Source: NBR Monetary Policy Statement for the year ended 31 December 2013

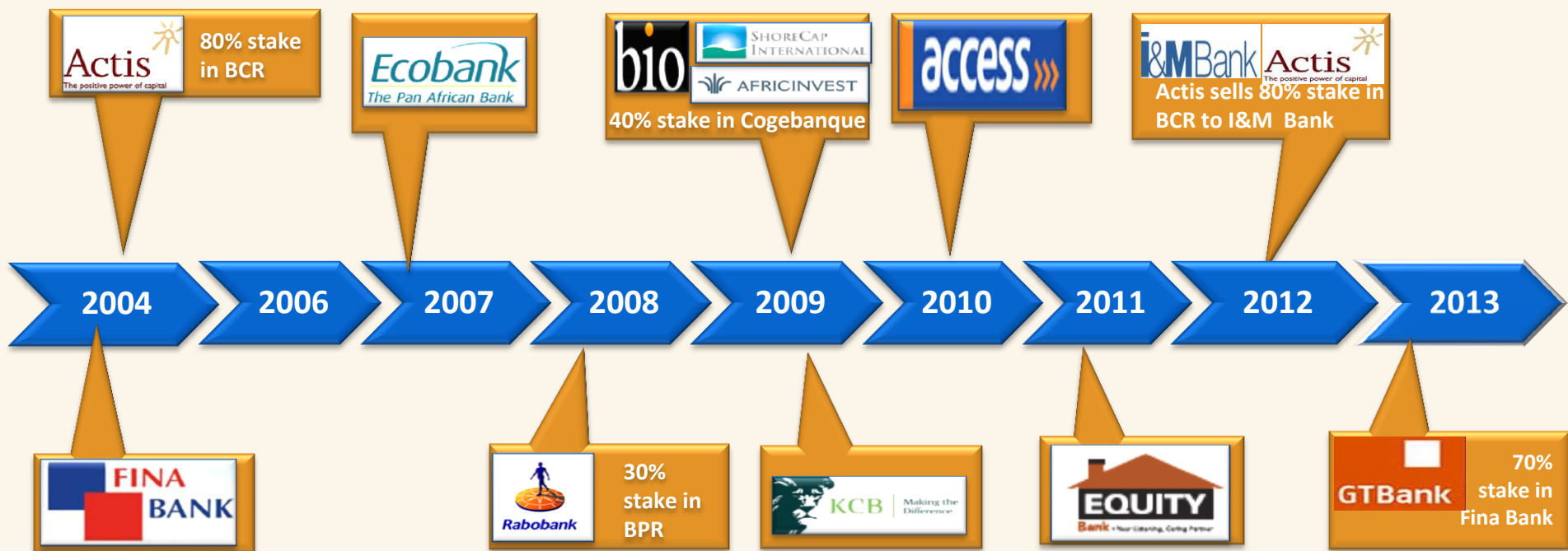
## Interest Rate Analysis



## Recent Regulatory Reforms To Improve Access To Credit

- Enactment of Law on Mortgages, requiring the registration of mortgages and enabling lenders to foreclose on defaulters
- Establishment of Commercial Courts dealing solely with commercial disputes
- Reorganization of the Land Centre which has computerised records and operations in addition to timely issuance of property titles
- Reorganization of the Office of the Registrar General to enhance and fast track registration of mortgages and foreclosures
- Establishment of Credit Reference Bureau to enhance information sharing among banks and other financial institutions in order to assist with credit risk assessment

# Timeline of Foreign Investment In The Rwandan Banking Sector



|                                                     | 2008  | 2009  | 2010  | 2011  | 2012  | 2013  |
|-----------------------------------------------------|-------|-------|-------|-------|-------|-------|
| <b>Bank of Kigali Market Share by Total Assets*</b> | 23.4% | 26.4% | 27.4% | 32.3% | 31.7% | 35.6% |

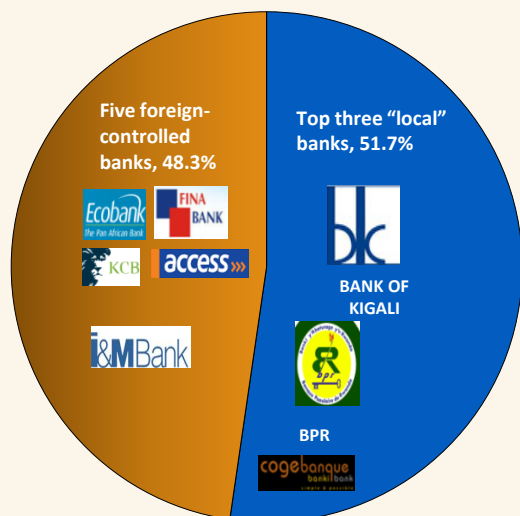
\* Market share among commercial banks



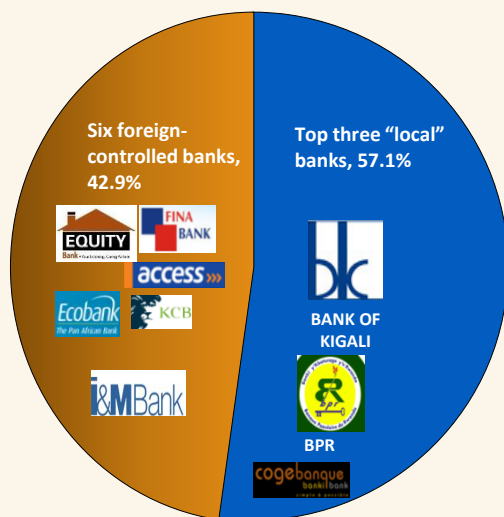
# Banking Sector Overview Cont'd

Case study: Rwanda– six out of nine banks in Rwanda are owned by regional and Pan African banks and have lost market share to locally-run banks

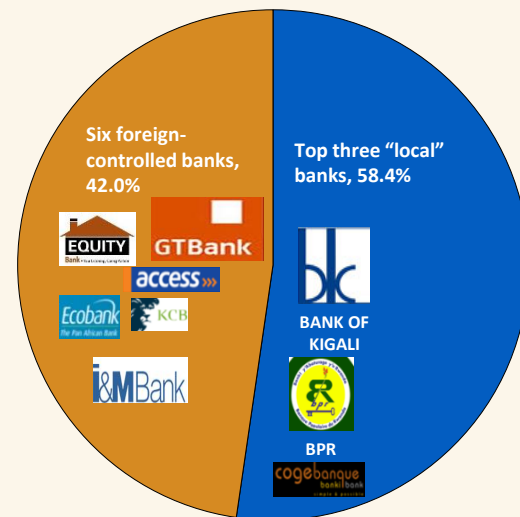
Market Share By Total Assets in 2008



Market Share By Total Assets in 2012



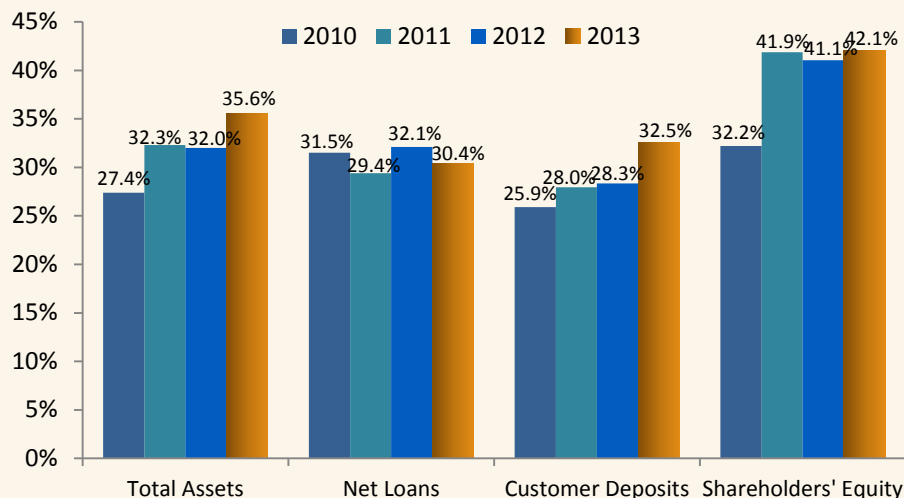
Market Share By Total Assets in 2013



Source: the National Bank of Rwanda, company estimates

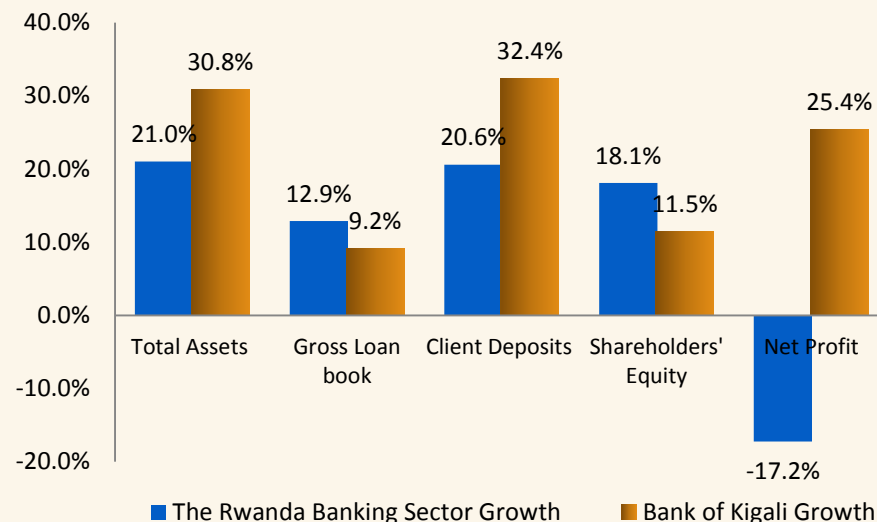
# Competitive Landscape

## Market Share Dynamics

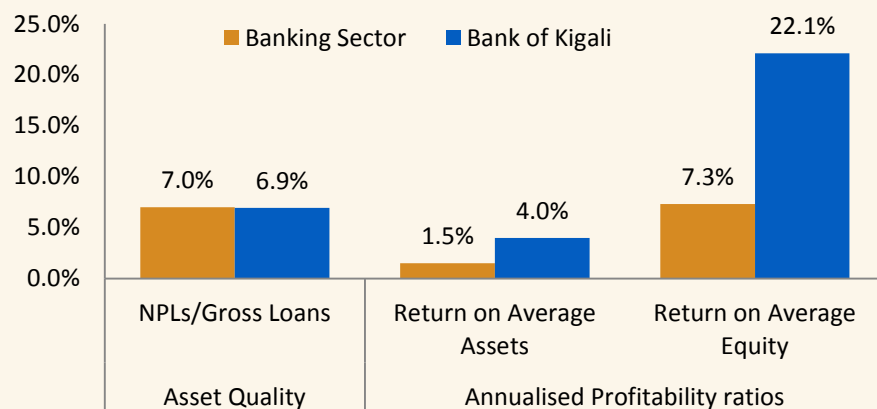


Source: NBR Supervision Department, BK Company Filings and published results of Banks \* BPR figures are estimates

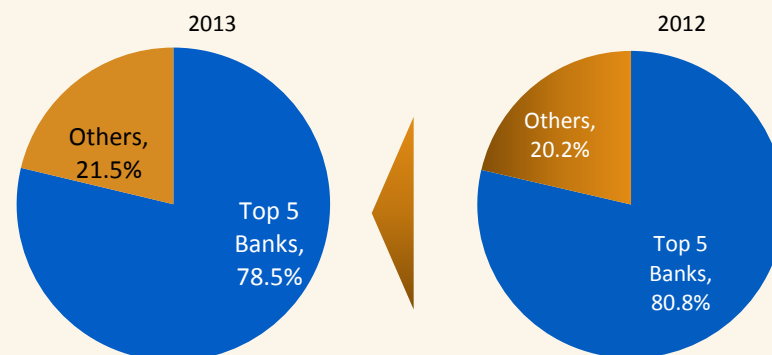
## Banking Sector Growth Vs Bank of Kigali Growth 2013



## Selected Indicators 2013



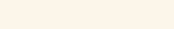
## Concentration of Banking Sector Assets



Source: YE 2013 Published Results except BPR

Source: NBR Supervision Department, BK YE 2013 Published Results

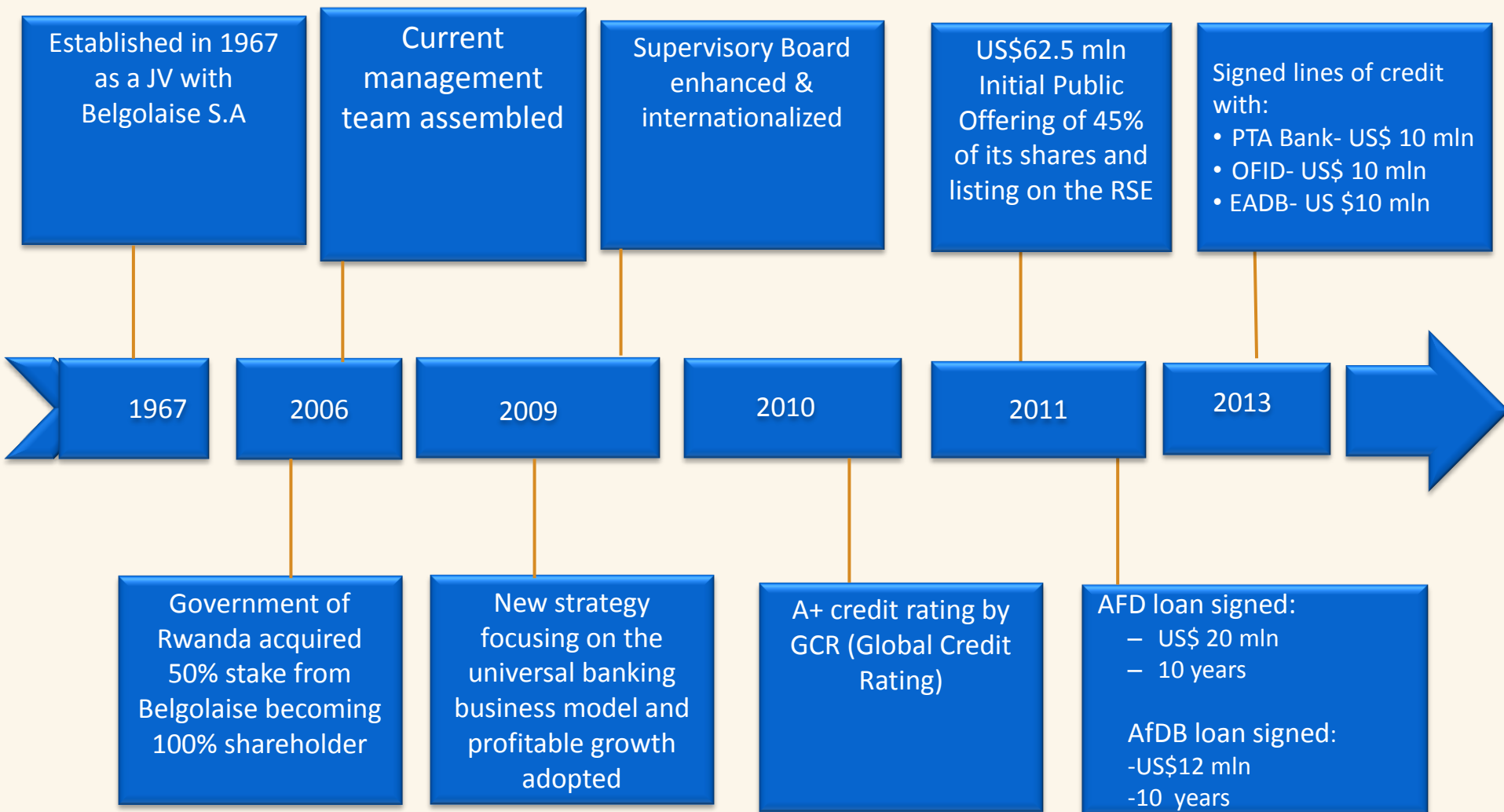
# Bank Of Kigali Is The Market Leader

| Rank | Total Assets                                                                        |         | Net Loans                                                                           |         | Customer Deposits                                                                     |         | Equity                                                                                |         |
|------|-------------------------------------------------------------------------------------|---------|-------------------------------------------------------------------------------------|---------|---------------------------------------------------------------------------------------|---------|---------------------------------------------------------------------------------------|---------|
| 1    |    | 35.6%   |    | 30.4%   |    | 32.5%   |    | 42.1%   |
|      | BANK OF KIGALI                                                                      |         | BANK OF KIGALI                                                                      |         | BANK OF KIGALI                                                                        |         | BANK OF KIGALI                                                                        |         |
| 2    |    | 13.8% * |    | 17.7% * |    | 14.2% * |    | 12.2% * |
|      | BPR                                                                                 |         | BPR                                                                                 |         | BPR                                                                                   |         | BPR                                                                                   |         |
| 3    |    | 10.6%   |    | 11.4%   |    | 11.0%   |    | 11.1%   |
|      | I & M Bank                                                                          |         | ECOBANK                                                                             |         | I & M Bank                                                                            |         | I & M Bank                                                                            |         |
| 4    |    | 9.5%    |    | 10.0%   |    | 10.4%   |    | 7.6%    |
|      | ECOBANK                                                                             |         | I & M Bank                                                                          |         | ECOBANK                                                                               |         | ECOBANK                                                                               |         |
| 5    |    | 9.0%    |    | 9.6%    |    | 8.6%    |    | 6.8%    |
|      | COGEBANQUE                                                                          |         | COGEBANQUE                                                                          |         | COGEBANQUE                                                                            |         | COGEBANQUE                                                                            |         |
| 6    |    | 6.8%    |    | 7.3%    |    | 7.3%    |    | 5.6%    |
|      | KCB                                                                                 |         | KCB                                                                                 |         | GT BANK                                                                               |         | KCB                                                                                   |         |
| 7    |    | 6.6%    |    | 7.2     |    | 7.2%    |    | 5.4%    |
|      | GT BANK                                                                             |         | GT BANK                                                                             |         | KCB                                                                                   |         | GT BANK                                                                               |         |
| 8    |  | 4.1%    |  | 4.3%    |  | 4.5%    |  | 5.0%    |
|      | ACCESS BANK                                                                         |         | EQUITY BANK                                                                         |         | ACCESS BANK                                                                           |         | ACCESS BANK                                                                           |         |
| 9    |  | 4.0%    |  | 2.1%    |  | 4.3%    |  | 4.2%    |
|      | EQUITY BANK                                                                         |         | ACCESS BANK                                                                         |         | EQUITY BANK                                                                           |         | EQUITY BANK                                                                           |         |

Source: YE 2013 published results for commercial banks \* BPR figures are estimates & subject to change

# BANK OVERVIEW

# Background And History



# A Snapshot Of Bank Of Kigali

## Key Facts

- The leading bank in Rwanda (35.6% market share by total assets as at 31 December 2013), offering a wide spectrum of commercial banking services to corporate, SME and retail customers
- As at 31 December 2013 the Bank had:
  - Over 27,000 corporate current accounts
  - Over 231,000 retail current accounts
  - 65 branches
  - 65 ATMs
  - 980 employees
  - 145,590 debit cards in circulation
- Western Union, Money Gram and Express Money services for International Transfers
- One of two Banks in Rwanda that issue s International VISA cards.



| US\$ million            | 2008  | 2009  | 2010  | 2011  | 2012  | 2013  | CAGR 2009-2012 |
|-------------------------|-------|-------|-------|-------|-------|-------|----------------|
| Rwf/USD Period End rate | 560.0 | 573.2 | 594.4 | 604.4 | 630.6 | 670.2 |                |
| Total Assets            | 215.7 | 264.9 | 332.6 | 476.3 | 511.9 | 630.2 | 29.1%          |
| Net Loans               | 128.7 | 134.5 | 170.6 | 203.7 | 293.5 | 297.0 | 26.8%          |
| Client Deposits         | 167.6 | 191.0 | 228.3 | 299.5 | 330.5 | 418.5 | 26.5%          |
| Shareholders' Equity    | 28.4  | 32.3  | 53.6  | 101.9 | 100.1 | 105.7 | 39.8%          |
| Net Income              | 10.1  | 9.2   | 10.4  | 14.4  | 18.5  | 22.0  | 29.4%          |

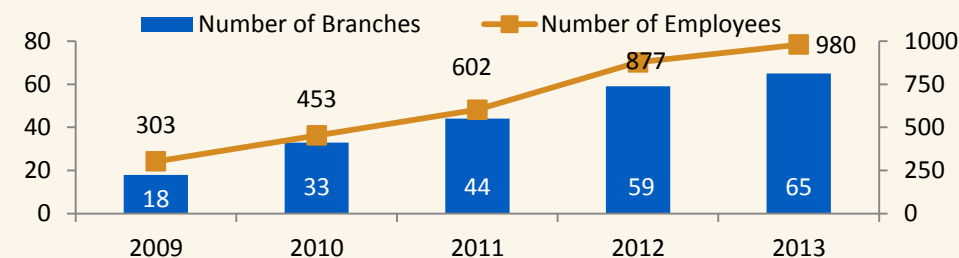
Growth figures are calculated on Rwf Values.

## Market Share

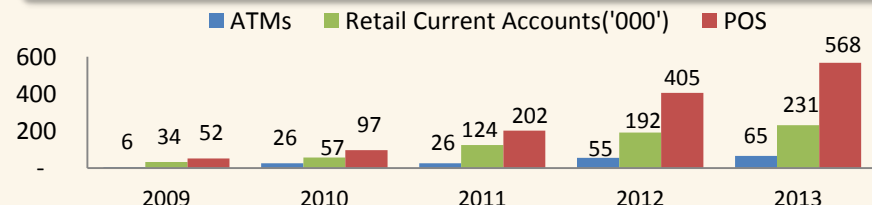
|                      |       |       |       |       |       |       |
|----------------------|-------|-------|-------|-------|-------|-------|
| Total Assets         | 23.4% | 26.4% | 27.4% | 32.3% | 31.7% | 35.6% |
| Net Loans            | 24.4% | 26.8% | 31.5% | 29.4% | 31.5% | 30.4% |
| Client Deposits      | 24.6% | 25.8% | 25.9% | 28.2% | 28.1% | 32.5% |
| Shareholders' Equity | 22.3% | 26.8% | 32.2% | 41.9% | 41.9% | 42.1% |

Source: Bank of Kigali Audited Financials 2008-2013, BK Reviewed Results 1H 2013 and National Bank of Rwanda

## Branch Network Evolution



## Growth in ATMs, POS Terminals and # of Retail Current accounts

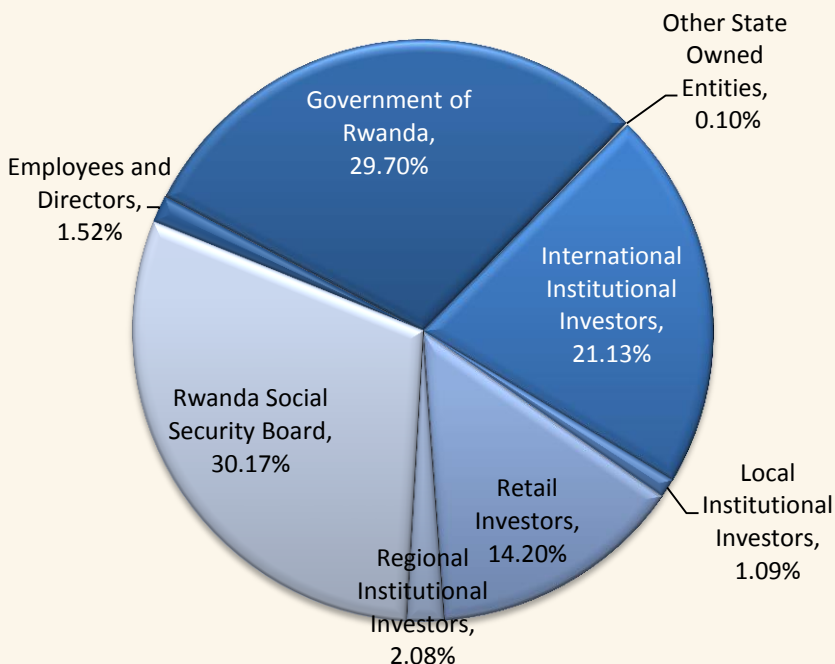


# CORPORATE GOVERNANCE



# Shareholding Structure & Corporate Governance

## Shareholding Structure as at 31 December 2013



**Free float- 45%**

## Corporate Governance

- ☒ The Board of Directors has eight independent non-executive directors (including two non-resident directors with extensive expertise in international banking practices)
- ☒ The Board of Directors is approved by the Central Bank and meets on a quarterly basis or more frequently as the business demands
- ☒ The Board sets the strategy and retains full responsibility for the direction and control of the Bank as spelled out in the Memorandum and Articles of Association, the Board Charter and the corporate governance guidelines
- ☒ The Board sub-committees have clear TORs which underscore the scope and context of their performance as approved by the Board & corporate governance regulation
- ☒ The Board receives detailed financial information and regular presentations from the management on the Bank's business performance, this enables the Directors to make informed decisions on governance, strategic, financials and operational issues

# Share Trading Performance

09 May 2014

## Analyst Coverage



Recommendation: **BUY**  
Target Price: **Rwf 390**  
Last coverage report: March 2014



Recommendation: **BUY**  
Target Price: **Rwf 295**  
Last coverage report: April 2014

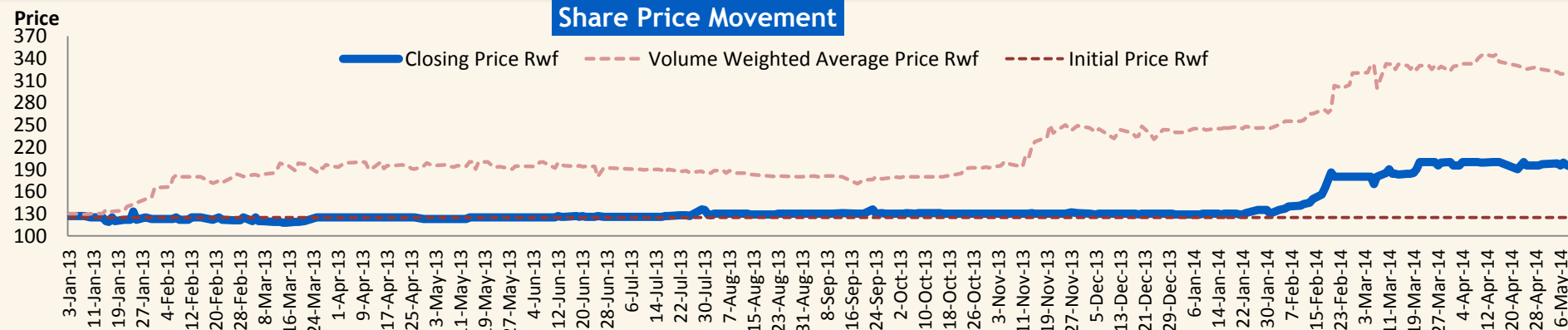
|                                               |         |
|-----------------------------------------------|---------|
| Current price, Rwf                            | 318     |
| Market Cap, US\$ mln                          | 312     |
| Free float                                    | 45%     |
| Free float in US\$ mln                        | 141.4   |
| Average daily traded volume in US\$ mln       | 0.1     |
| Common shares outstanding, mln shares         | 670.4   |
| 12-month high                                 | 365     |
| 12-month low                                  | 170     |
| P/E 2014 (based on current price)             | 12.36x  |
| P/BV 2014( based on current price)            | 2.6x    |
| Dividend yield, 2013                          | 4.6%    |
| Dividend yield, 2014( based on current price) | 4.0%    |
| Ticker Code                                   | BOK     |
| Bloomberg                                     | BOK. RW |

Rwf/USD Exchange Rate of 680.131 as at 09 May 2014

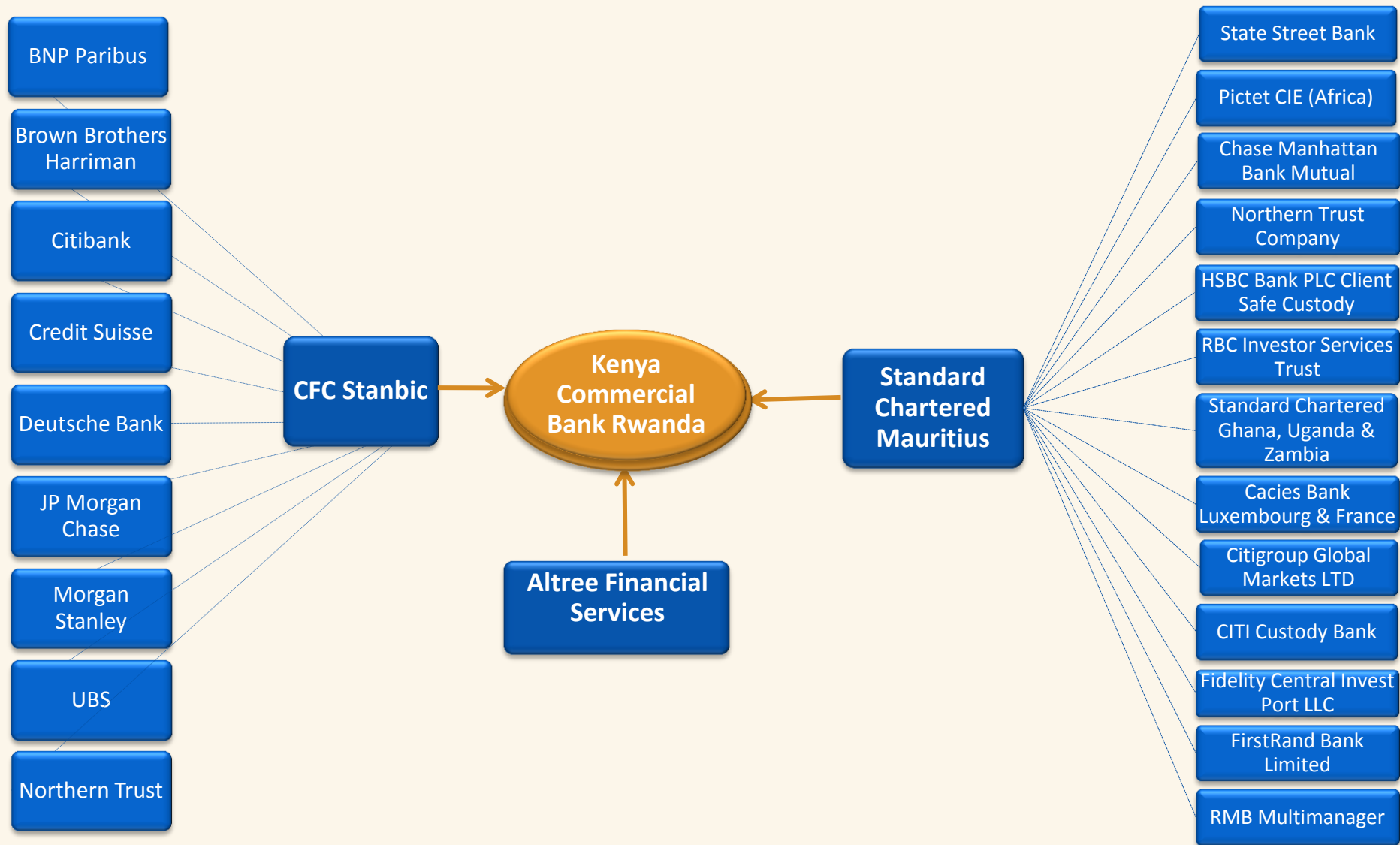
**\*Capital gains on RSE transactions are exempted from Capital Gains Tax**

## Share Price Performance since start of trading

### Share Price Movement



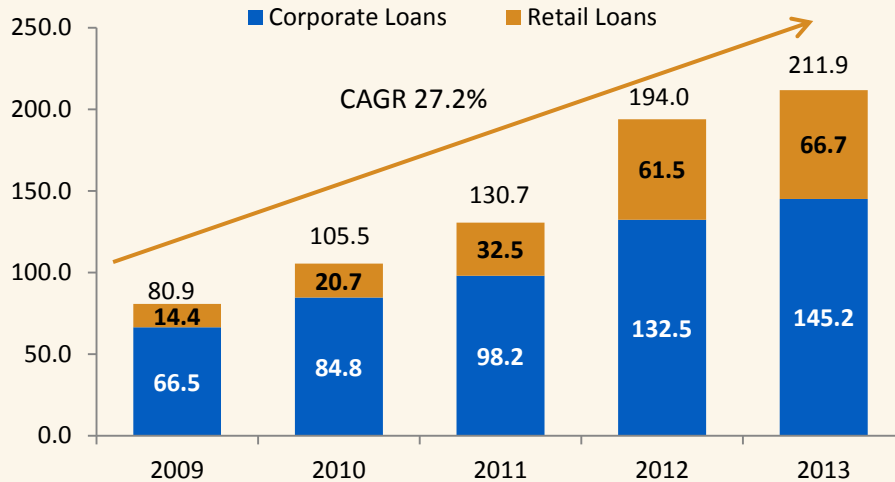
# Custodial Service Chain



# BUSINESS OVERVIEW

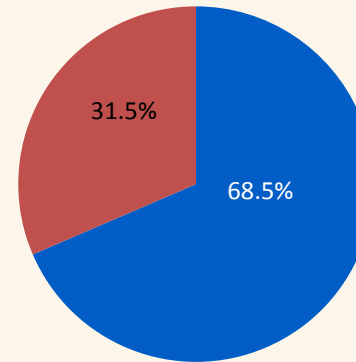
# Overview of the Loan Book

## Gross Loan Portfolio

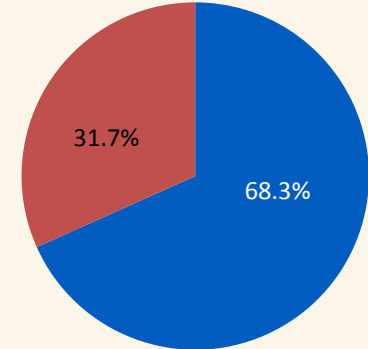


## Loan Book Segmentation

YE 2013



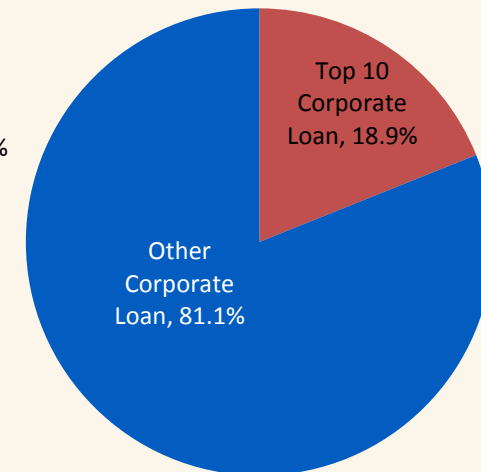
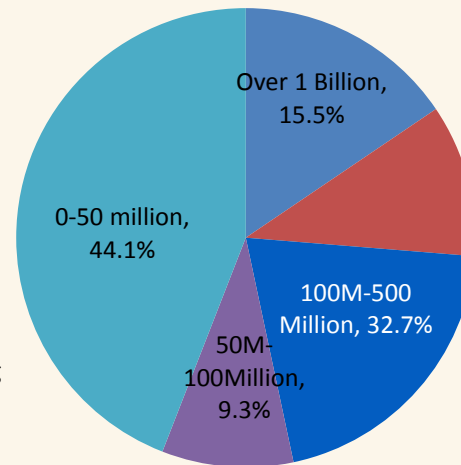
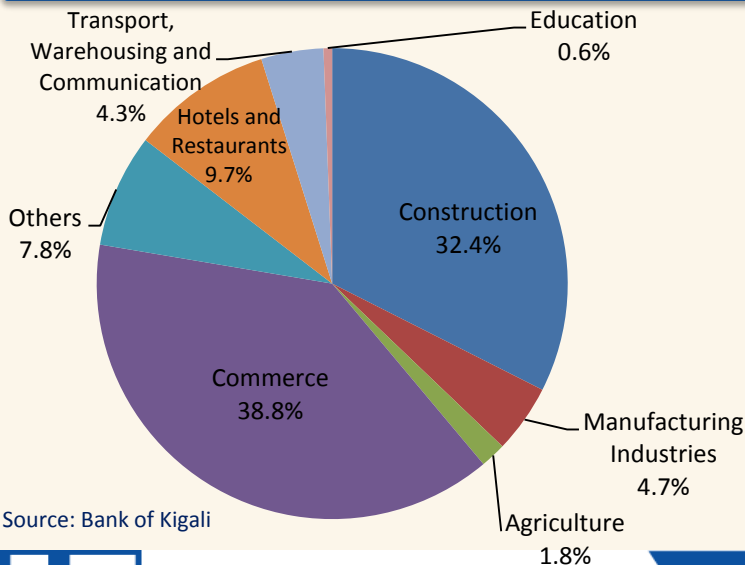
YE 2012



■ Corporate Loans

■ Retail Loans

## Corporate Loan Book YE 2013



Source: Bank of Kigali



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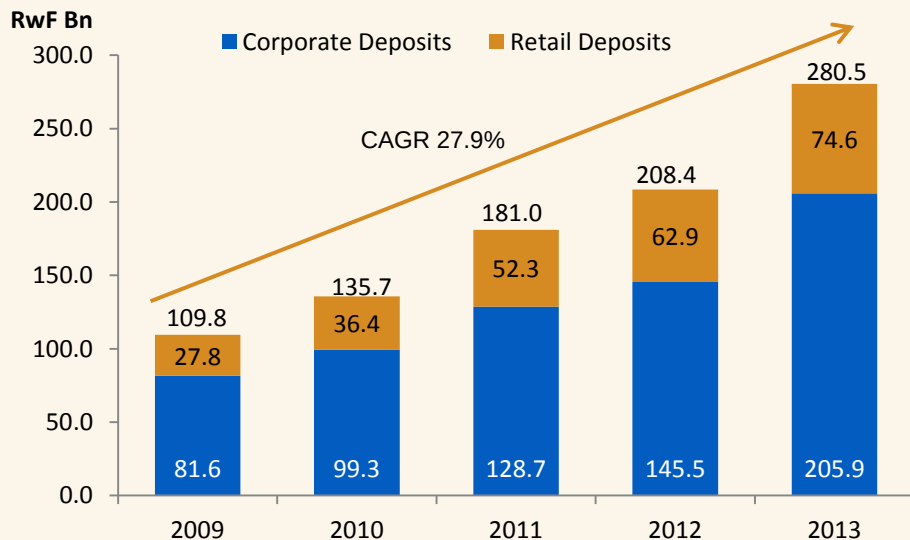


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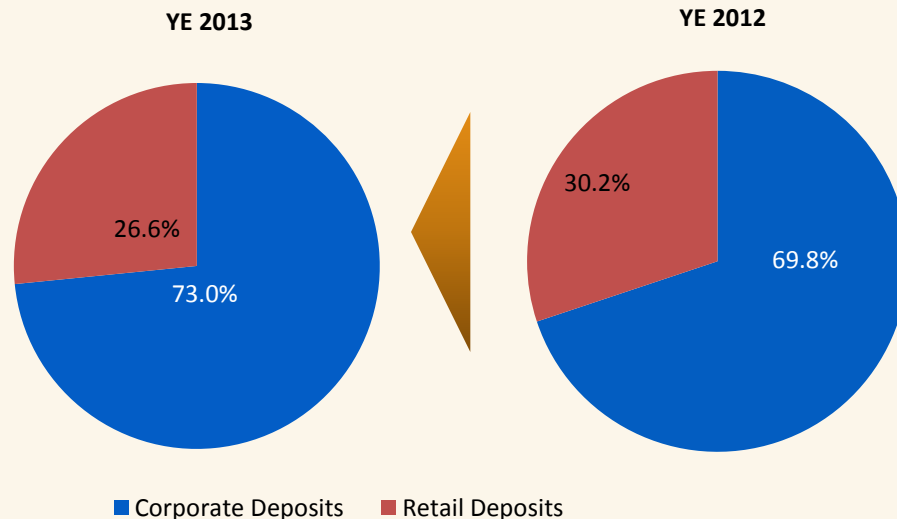


# Customer Deposit Base

## Customer Deposits Growth



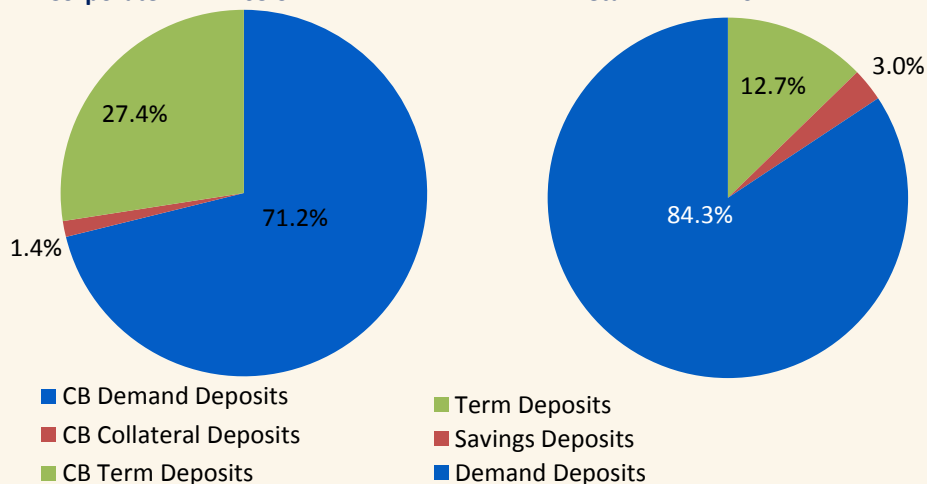
## Customer Deposit Segmentation



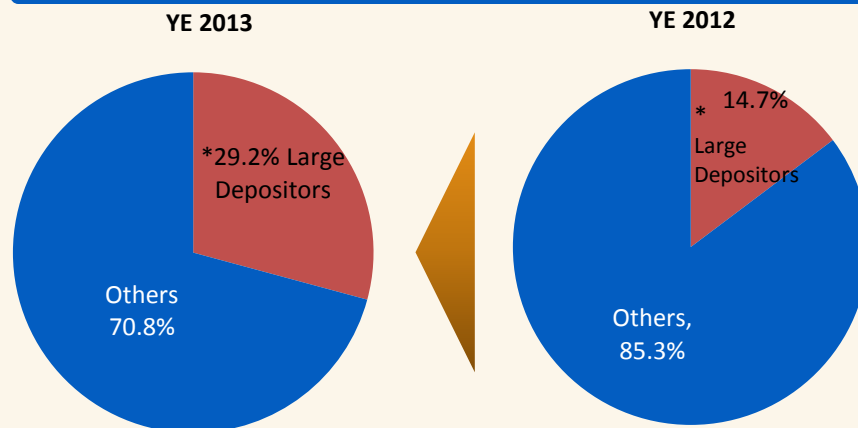
## Structure of Deposits, YE 2013

Corporate: RWF 205.9 Bn

Retail: RWF 74.6 Bn



## Customer Deposits Concentration



Notes: \* depositors with total balances above 5% of shareholders' equity of BoK Source: Bank of Kigali

# Corporate Banking

## Description



☒ Clients include corporate, SMEs and NBAs\*



☒ Interest rates are in the 16-18.5% range. Key products:



☒ CAPEX loans: long-term loans for investment or expansion of the business



☒ Commercial mortgage loans: typical customer participation at 30% of property value, typical tenor of up to 10 years



☒ Working capital loans: financing business needs to an agreed limit for a short period (usually <1yr)



☒ Overdrafts



☒ Strategy



☒ Introduce new services, integrate client coverage

AMEKI COLOR

☒ Grow and consolidate market share



☒ Leverage superior lending capacity

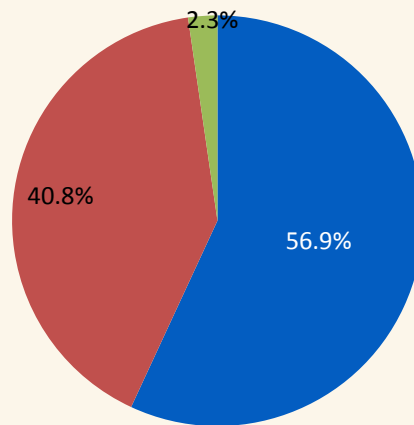


☒ Focus on payroll services



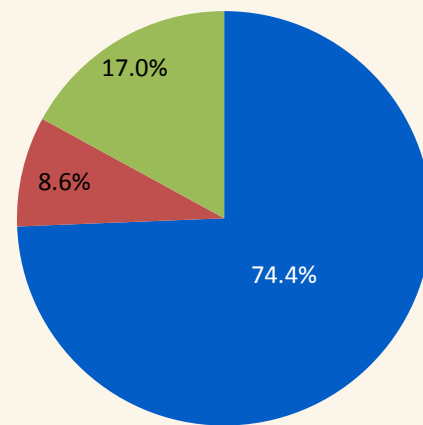
\*NBAs (Non Business Associations) includes Non-Profit Organizations, Charities, Religious institutions, Educational Institutions, Cooperatives, etc.

## Key Segments as at YE 2013



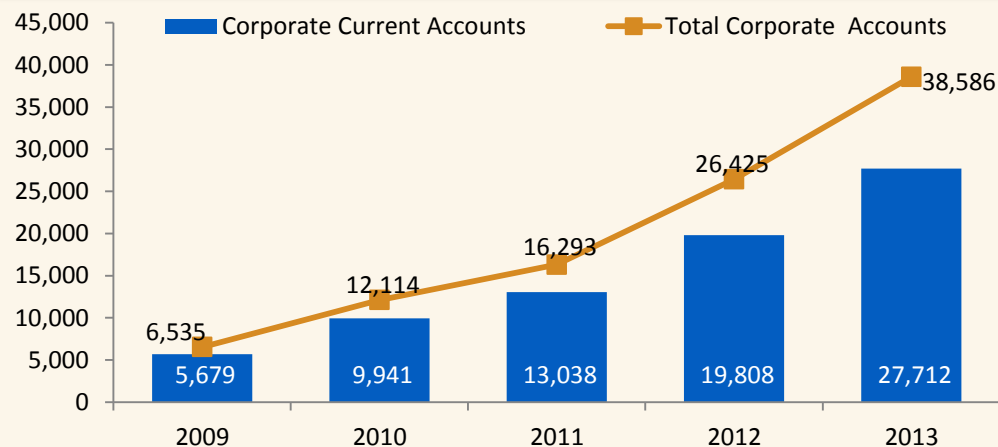
■ Corporate ■ SMEs ■ NBAs

**Corporate Loans: RwF 145.2 Bn**



**Corporate Deposits: RwF 209.5 Bn**

## Number of Corporate Accounts



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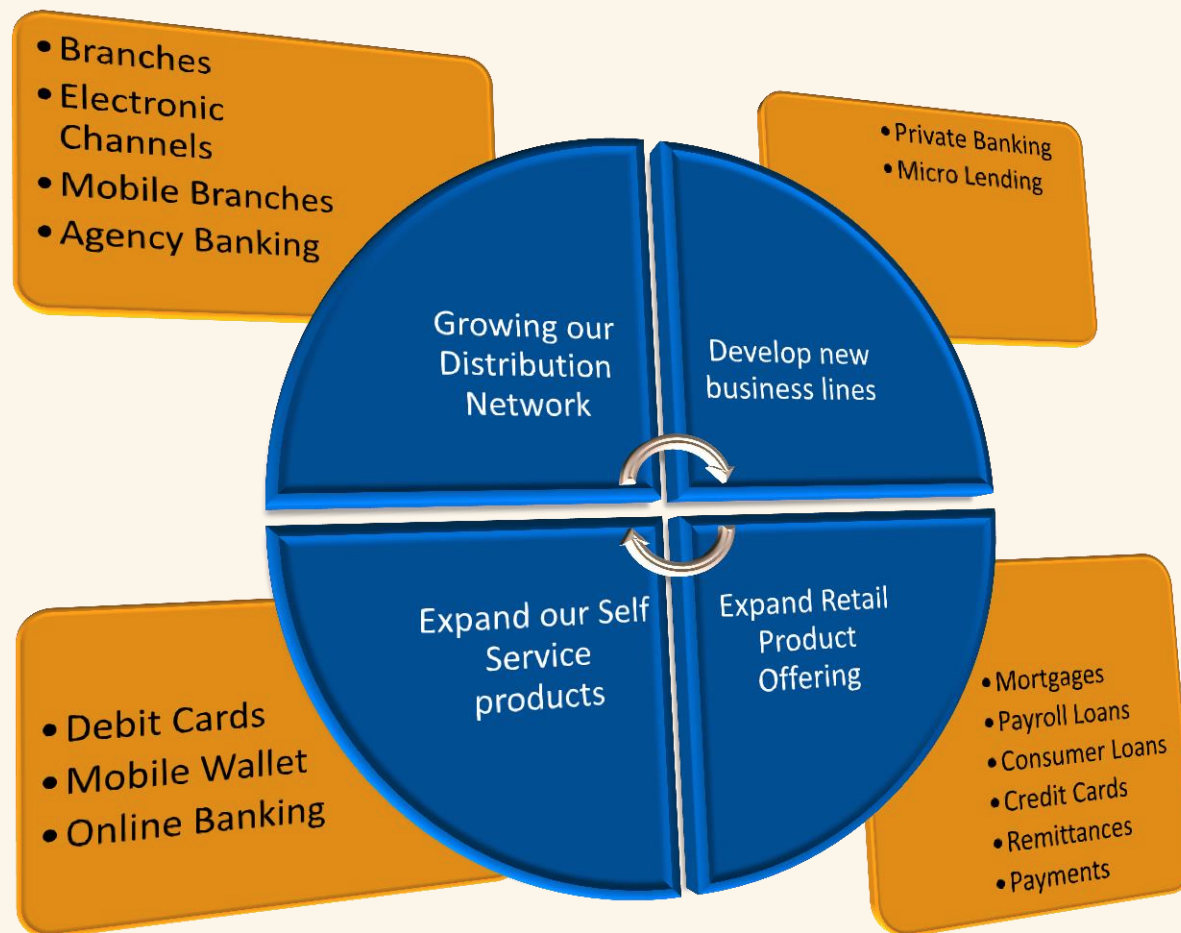


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# Executing The Retail Strategy



# Retail Banking

## Description

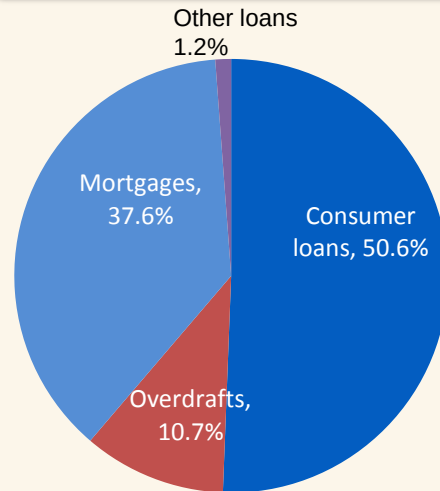
- The Bank's retail business is primarily focused on mortgages and consumer loans with notable share of salary backed overdrafts
- Key products:
  - Mortgage loan: up to 15 years with typical customer participation at 30% of property value
  - Consumer loan: up to 12x monthly salary and 48 months
  - Overdraft: up to 60% of monthly salary (normally repaid in 30 days)
  - Other products include credit cards and asset based financing
- Strategy:
  - Build a ubiquitous branch footprint throughout the country
  - Build sufficient channel capacity to be able to service 500,000+ clients by 2015
  - Build out the retail product lineup to achieve relevance to the daily lives of the banked population
  - Expand credit card/debit card offering to other providers (MasterCard, AMEX etc)

## Our Products

**BK CASH POINT**

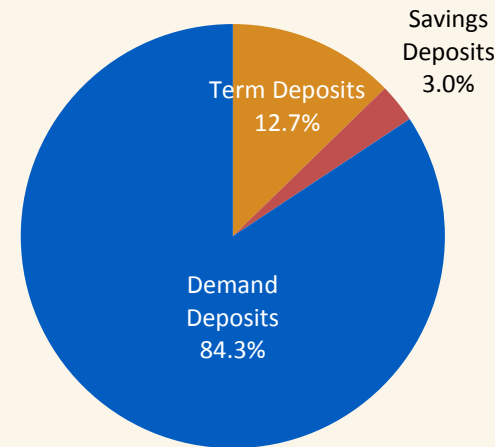


## Retail Lending



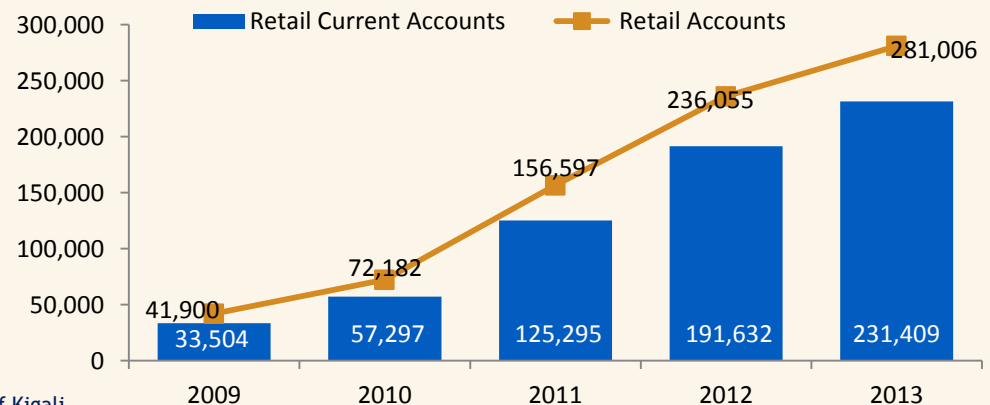
**Retail Loans: RWF 66.7 Bn**

## Retail Deposits



**Retail Deposits: RWF 74.6 Bn**

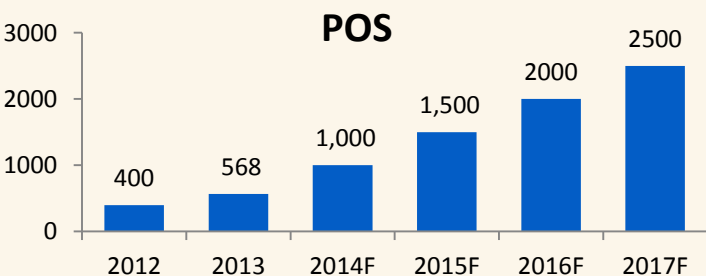
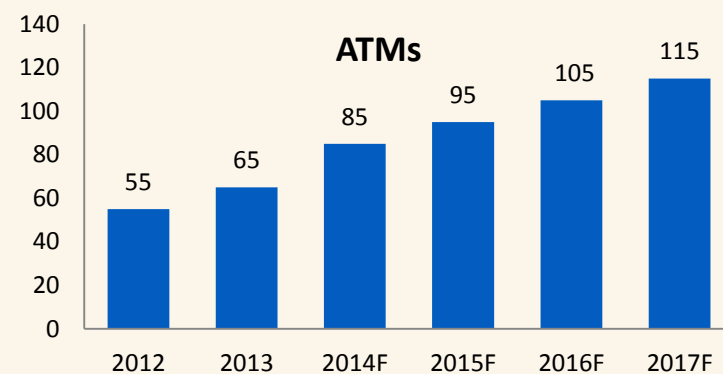
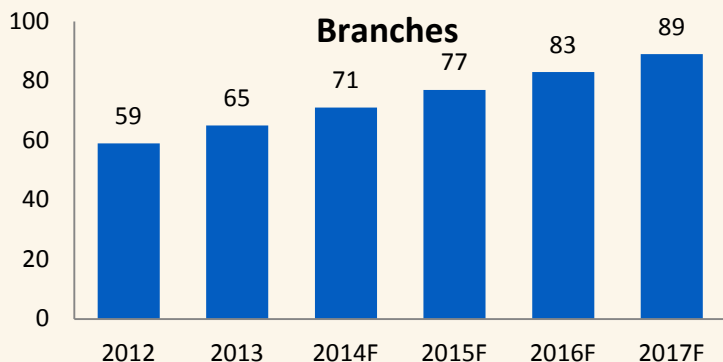
## Number of Retail Accounts



Source: Bank of Kigali

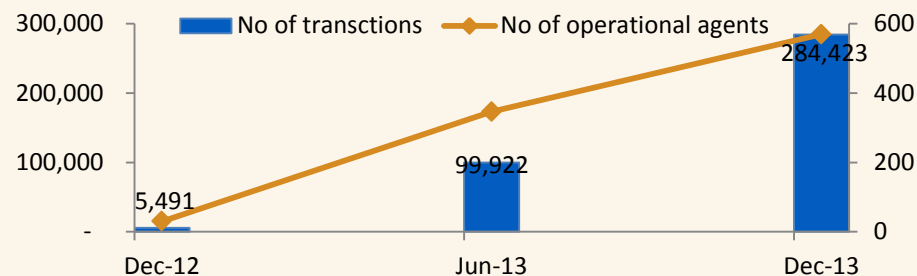
# Growing Our Distribution Network

## Ubiquitous footprint



## Agency Banking

- Agency Banking platform BK Yacu began operating in Nov 2012.
- 569 operational agents as at 31 December 2013 with over 284,000 transactions processed during the year with net deposits mobilised of RwF 42.9 Billion
- Agents are able to perform cash in and cash out transactions, open customer accounts as well as send and receive money.
- Plan to introduce 20 BK owned agent kiosks in high traffic areas



## Other Initiatives

- 4 additional mobile vans to be deployed across the country
- Launch Airtel Money across all branches
- Partnership with Airtel to launch microloan & trust account product



# Expanding Our Self Service Products

## Growing our Card Business

### Key Achievements

- Launch of Visa Classic and Visa Gold Credit Cards
- Over 145,500 Visa Electron debit cards currently in circulation
- CUP and Diners Club Card Acquiring
- Deposit taking ATMs
- Signing of E-commerce contract with Iveri

### 2014 Targets

- Mass roll out of credit cards to the retail segment -50,000 cards by YE 2014
- Master card Issuing and Acquiring
- Launch of E-commerce platform



## Increasing our Mobile product offering

### 1. Enhancing our mobile banking service

- Our mobile banking service Mobiserve allows customers to perform the following transactions:
  - Send money to any mobile phone user regardless of whether they operate a bank account or not
  - Purchasing prepaid TV, airtime and electricity
  - Check Balances and Bank information
  - Order cheque books

- 122,570 Mobiserve accounts had been opened as of 31 December 2013

### 2. Mobile wallet(mVISA)

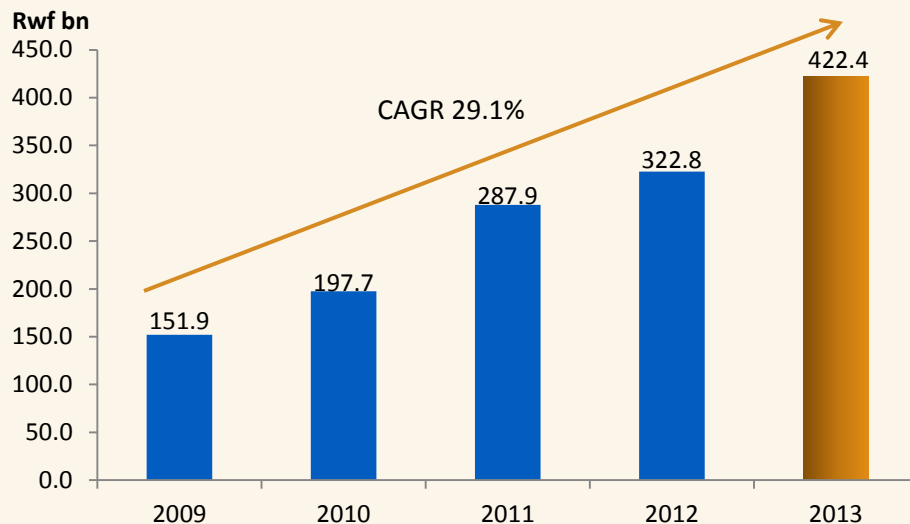
- mVISA mobile wallet was officially launched in July 2013.
- The product provides access to formal financial services to any household or Rwandan with a mobile phone.
- Customers can send and receive money as well as make deposits and withdrawals in addition to other services.
- 32,450 transactions had been processed as of 31 December 2013 with over 12,121 accounts opened.



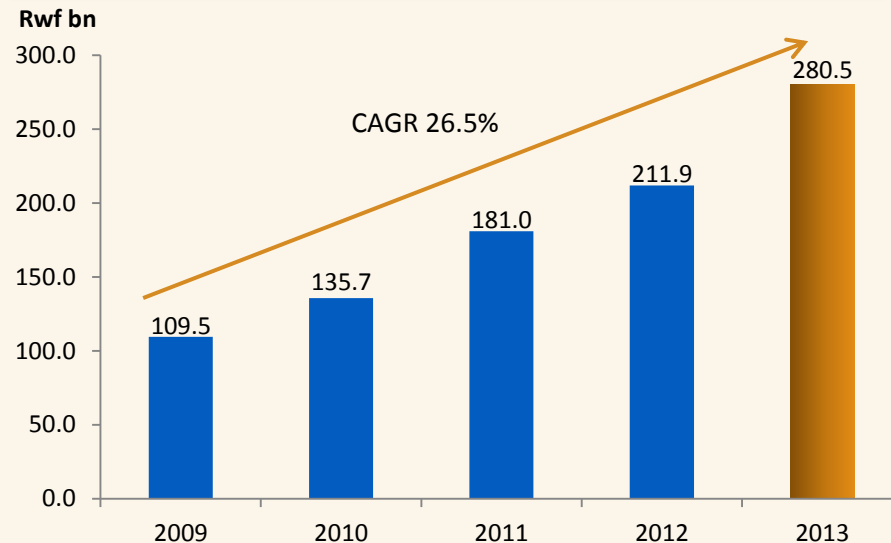
# REVIEW OF FINANCIAL PERFORMANCE IN 2013

# Balance Sheet Highlights

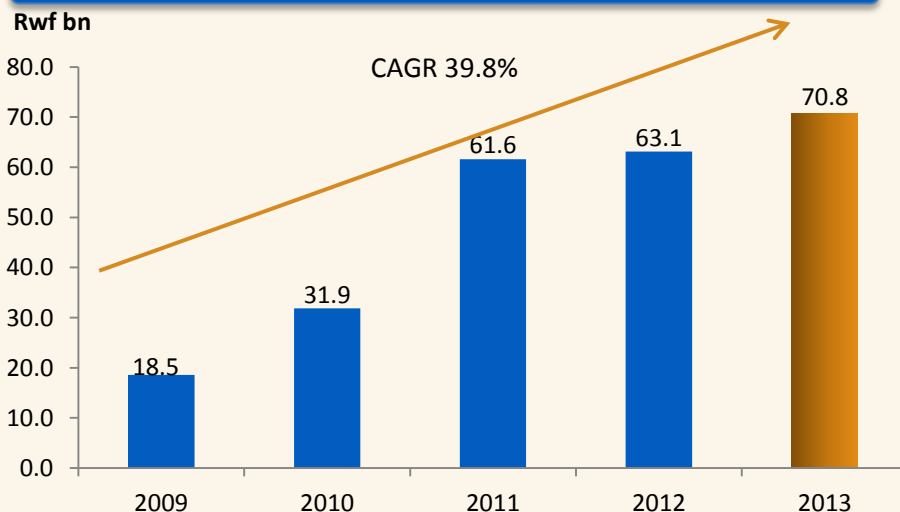
## Total Assets



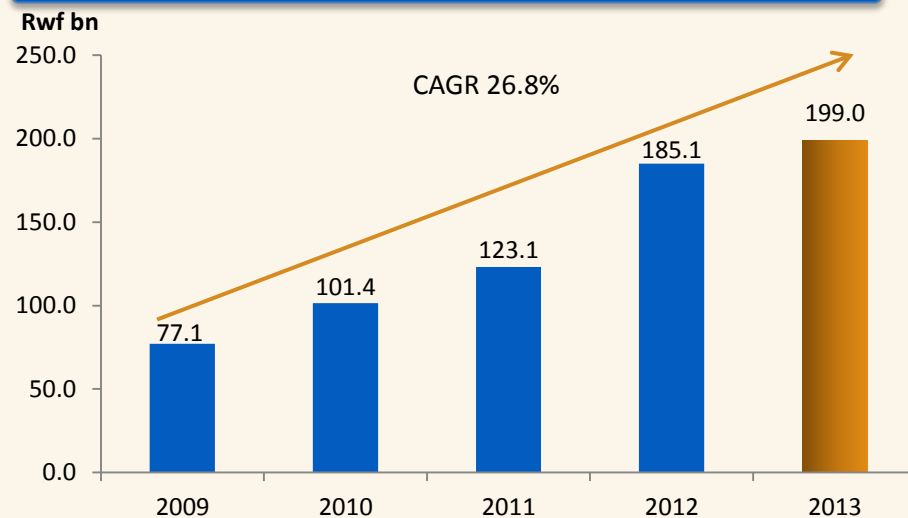
## Customer Deposits



## Shareholders' Equity



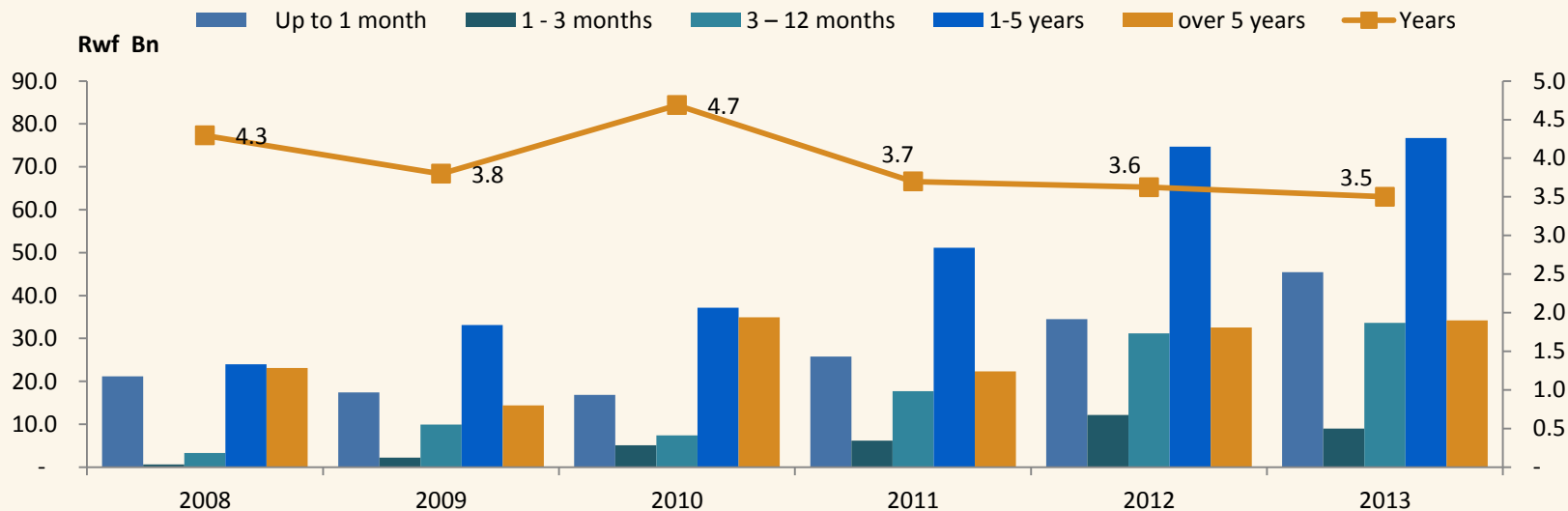
## Net Loans



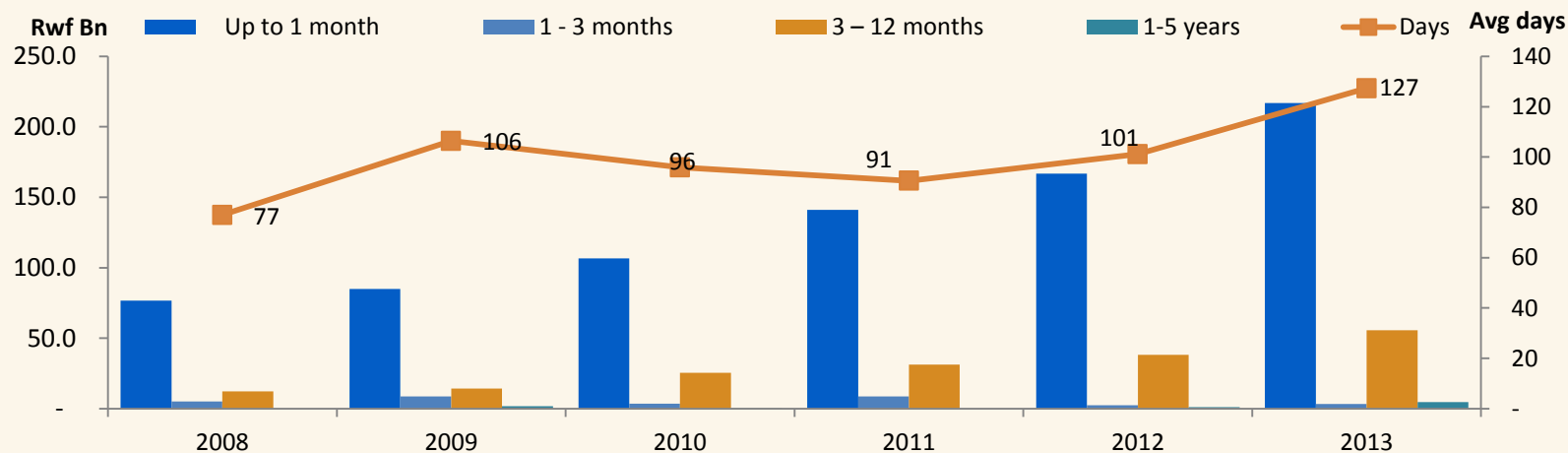


# Maturity Profile

## Loans



## Customer Deposits



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**AFRICAN BANKER AWARDS 2012**

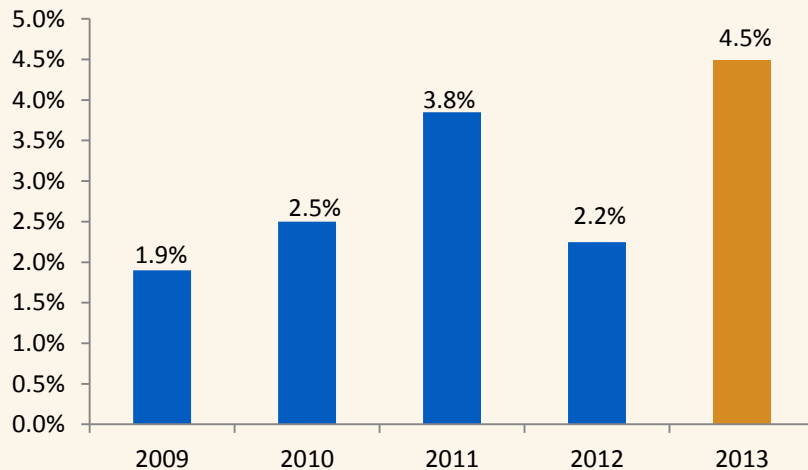
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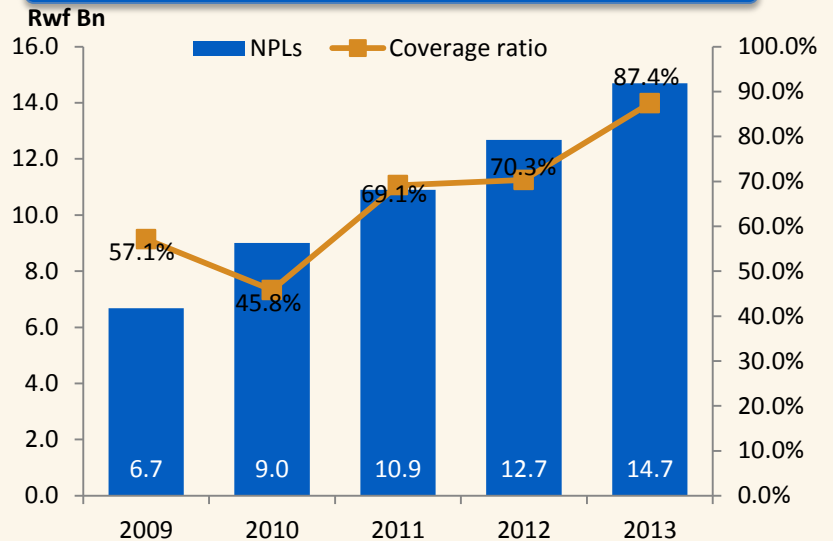
# Asset Quality

## Cost of Risk\*\*, %



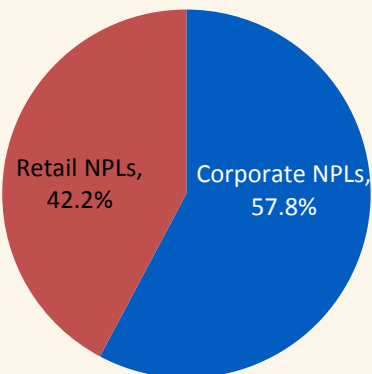
Notes: \*\* LLP charge / Average gross loans for period

## Improving Coverage Ratio

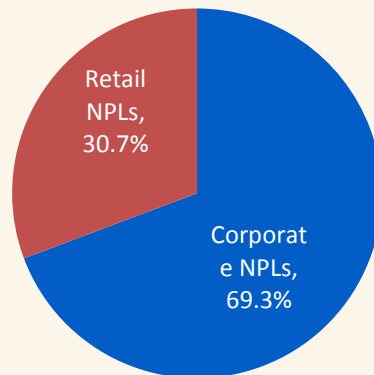


## NPLs by segment

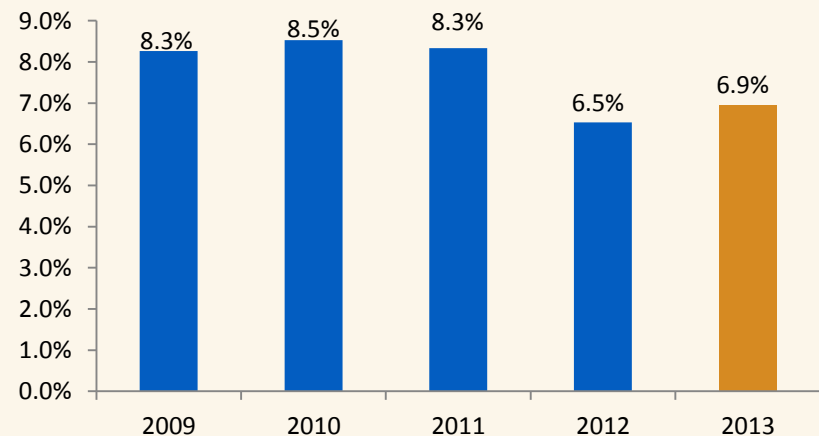
YE 2013



YE 2012

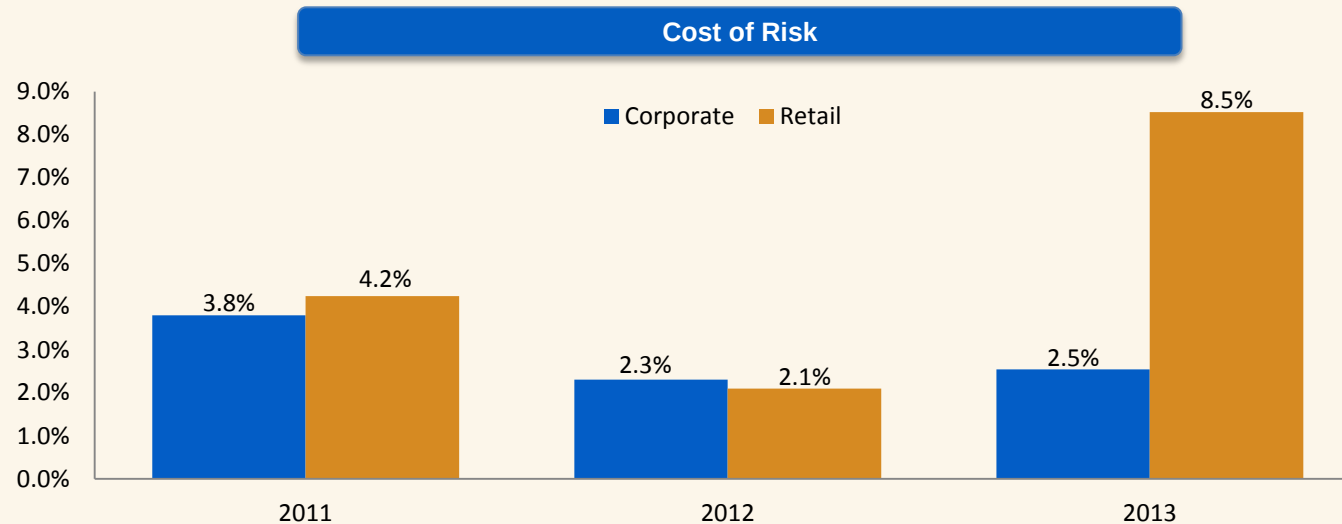


## Manageable NPL Ratio



Source: Bank of Kigali Audited IFRS Statements 2007-2012, Q1 2013 reviewed results

# Asset Quality



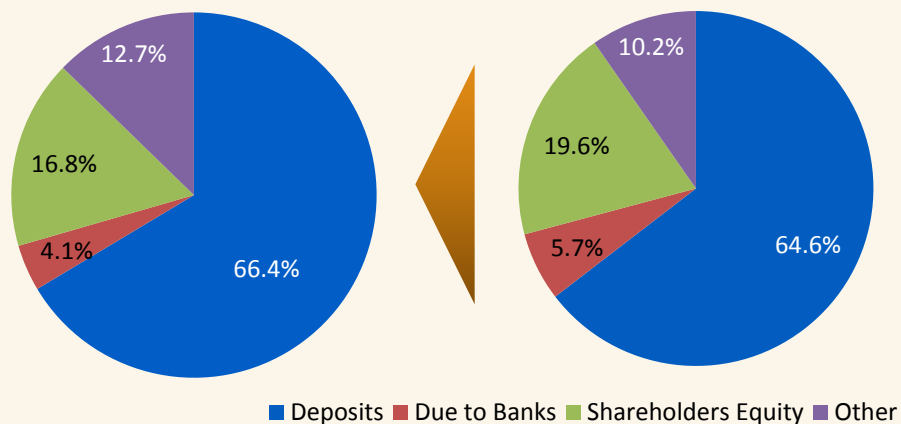
\*annualised

# Funding

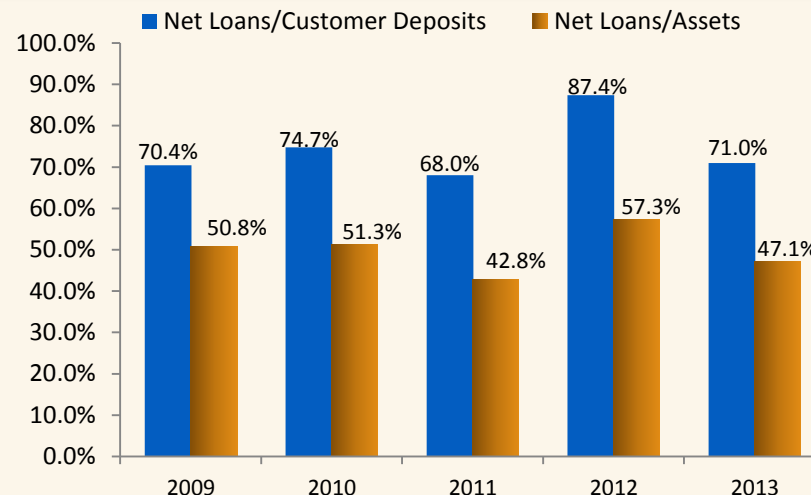
## Funding Structure, %

YE 2013

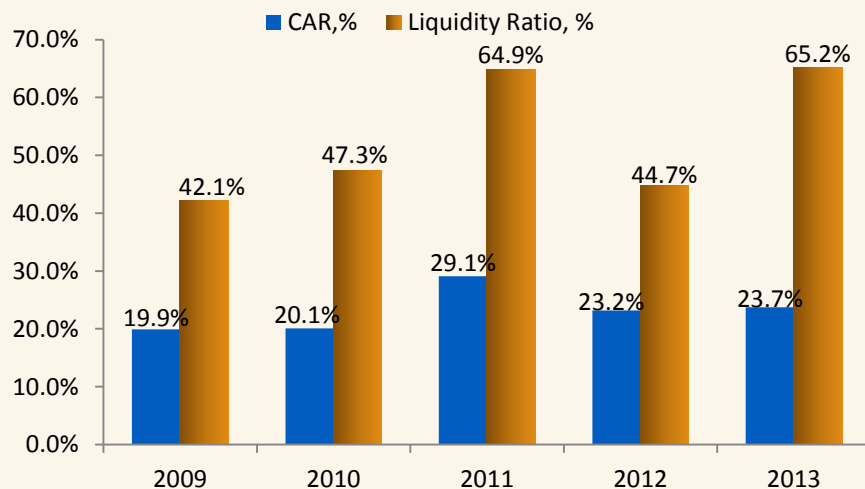
YE 2012



## Significant Potential For Growth In Higher Yielding Assets



## Strong Capital And Liquidity Position



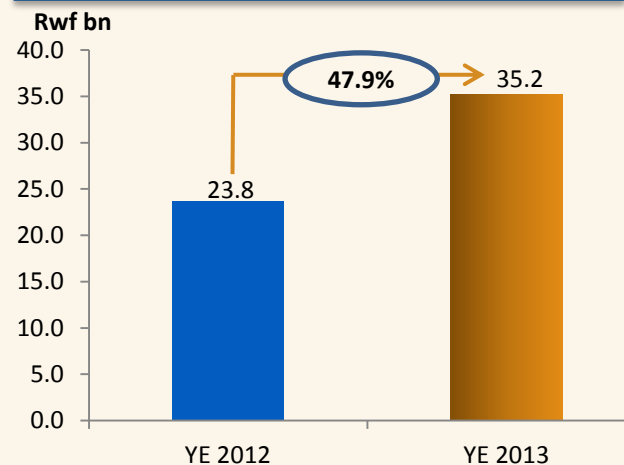
## Highlights

- Deposits are the primary source of funding with share of deposits at 66.4% as at 31 December 2013
- Strong growth in deposits has been driven by our branch expansion as well the introduction of various deposit mobilizing initiatives such as mobile vans and agency banking
- The Bank drew down \$ 28.5 million through lines of credit with PTA Bank, the OPEC fund for International Development and East African Development Bank during the year

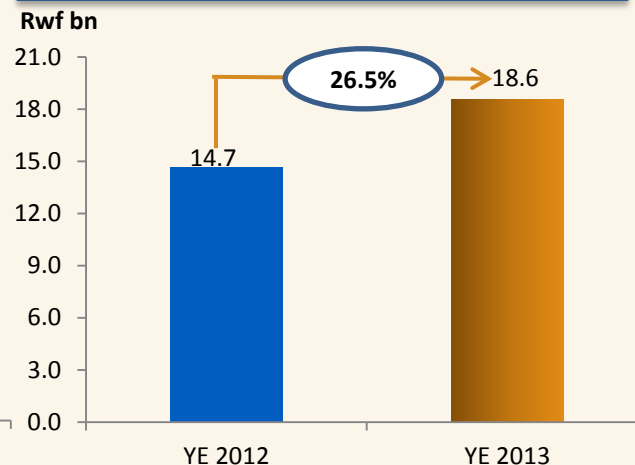
Source: Bank of Kigali 2009- 2013 audited IFRS Financial Statements,

# 2013 Performance Highlights

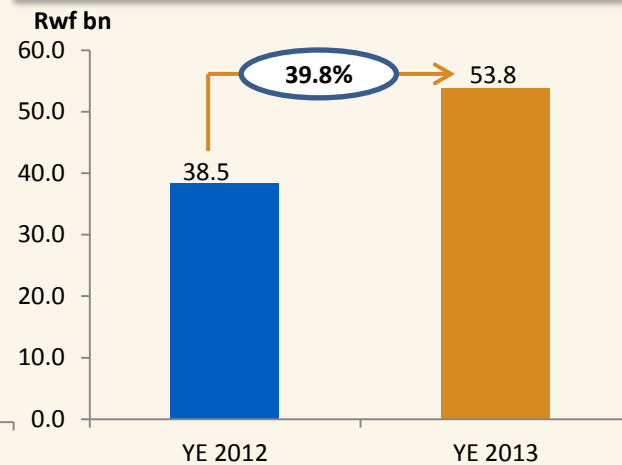
## Net Interest Income



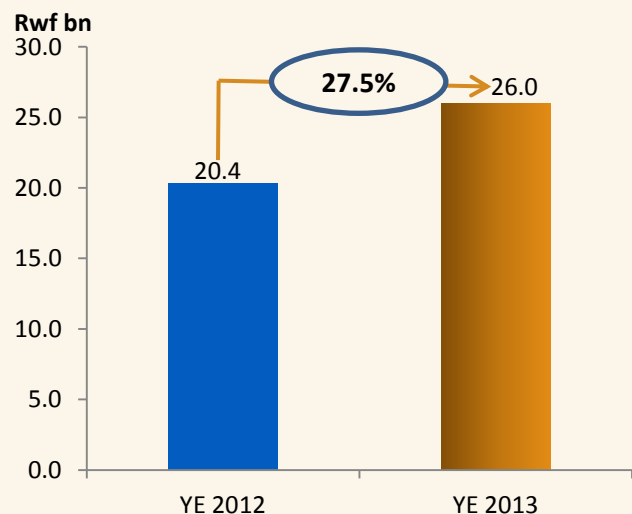
## Net Non-Interest Income



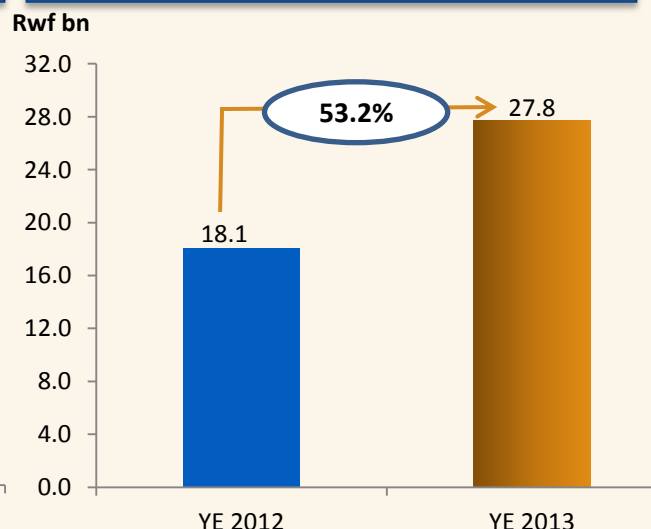
## Total Operating Income



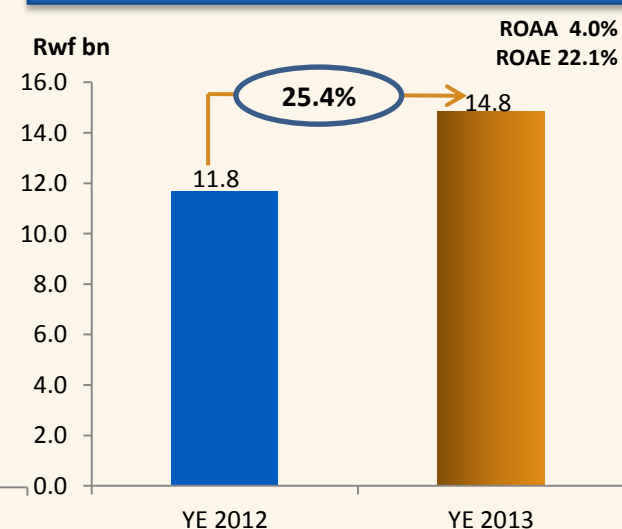
## Total Recurring Operating Costs



## Profit Before Provisions



## Net Income



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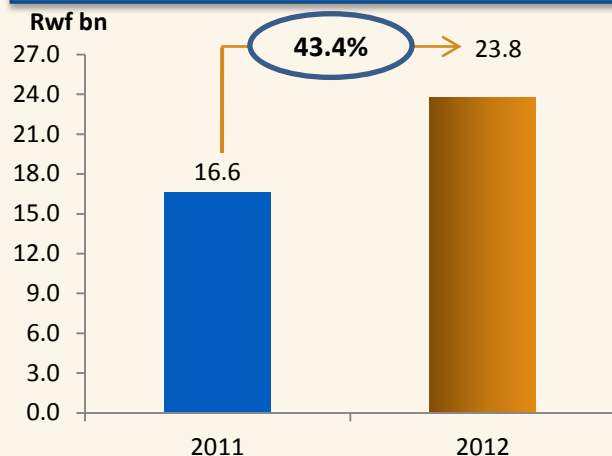


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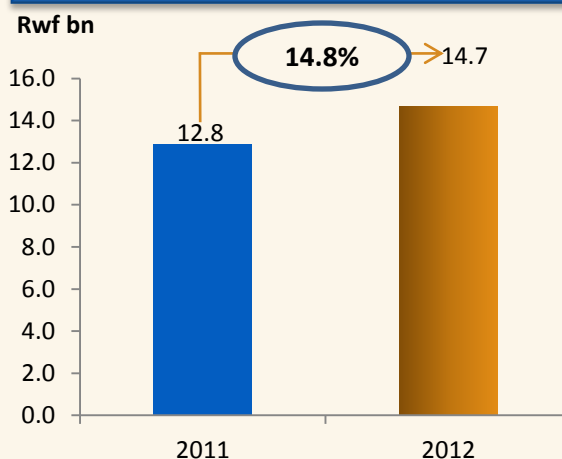


# 2012 Performance Highlights

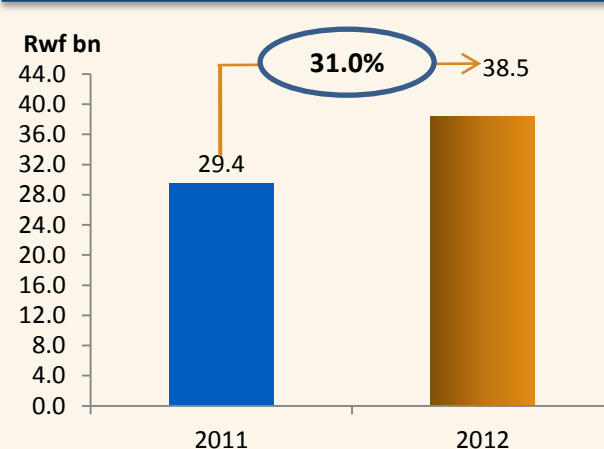
## Net Interest Income



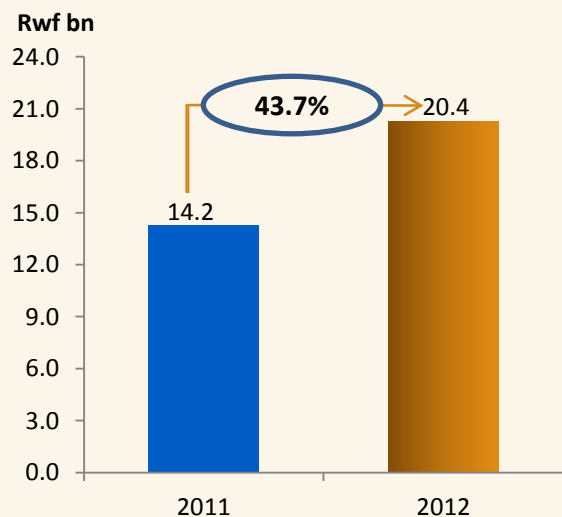
## Net Non-Interest Income



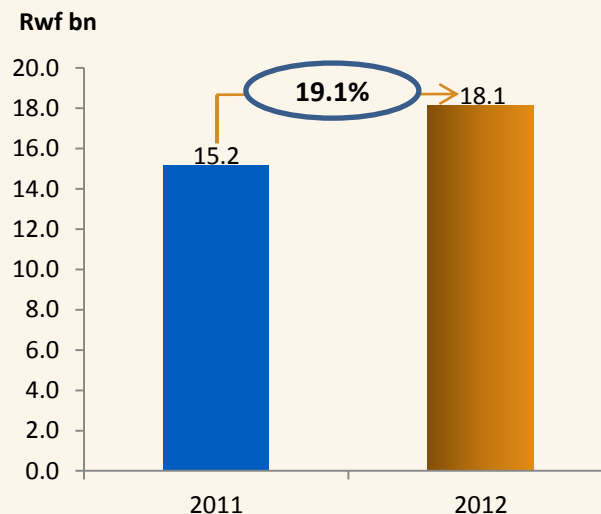
## Total Operating Income



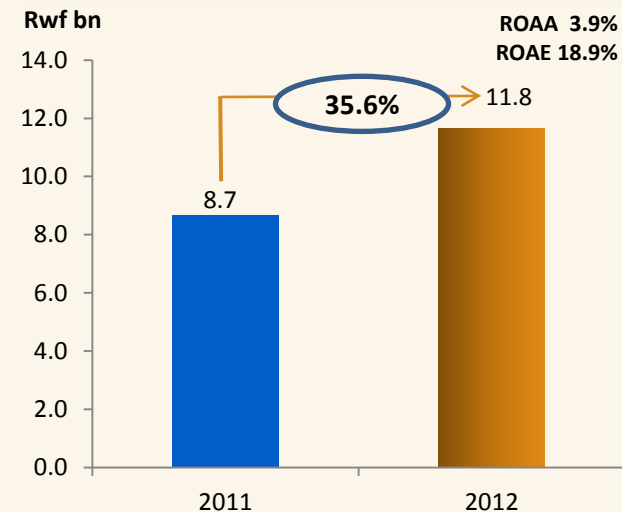
## Total Recurring Operating Costs



## Profit Before Provisions

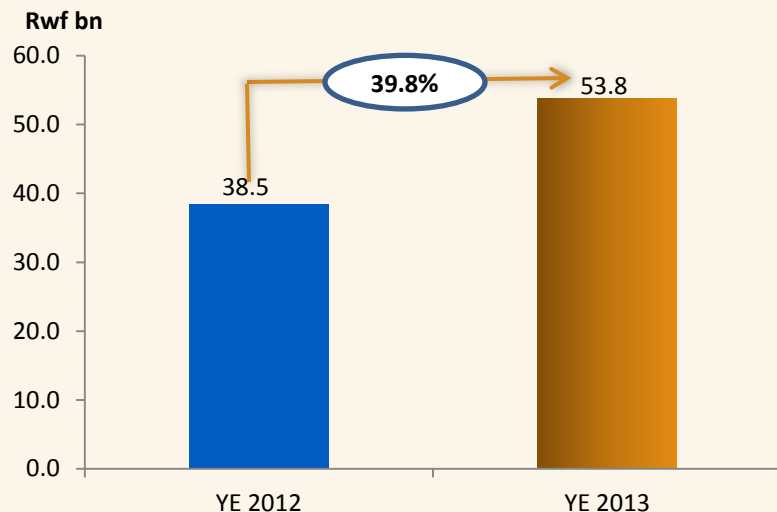


## Net Income

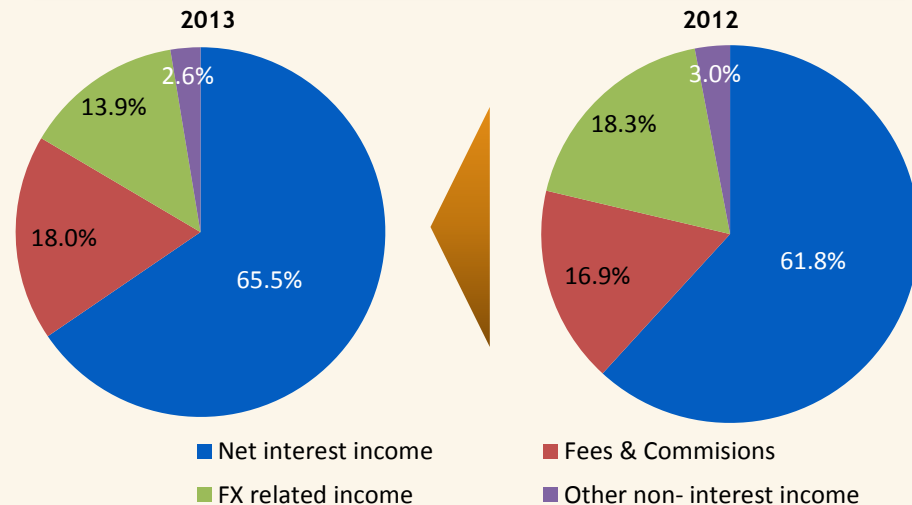


# Income Statement Highlights

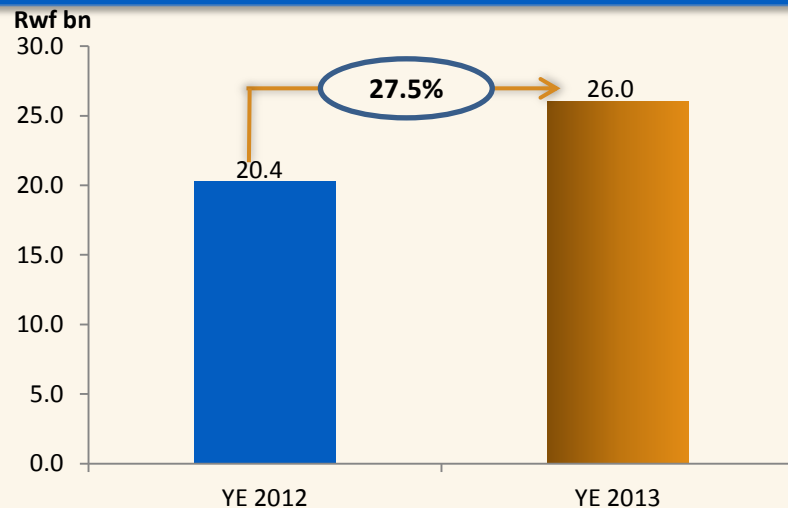
## Total Operating Income



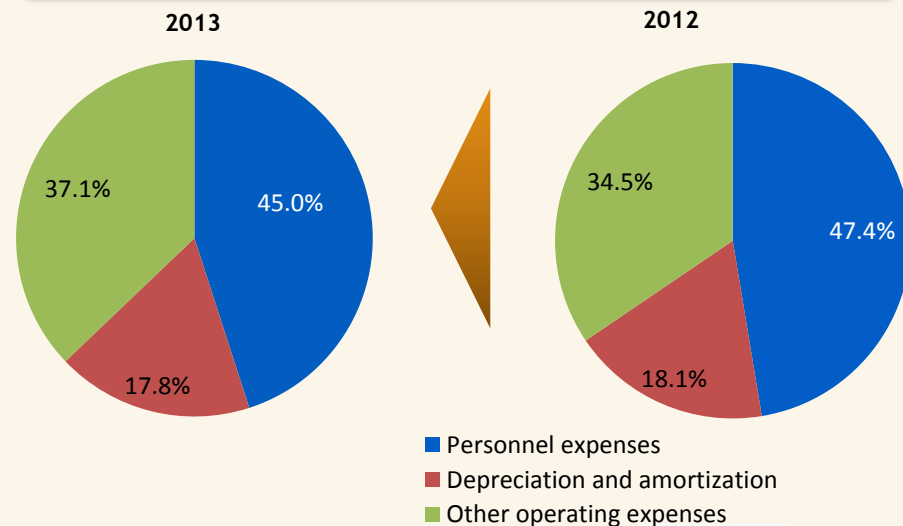
## Composition of Total Operating Income



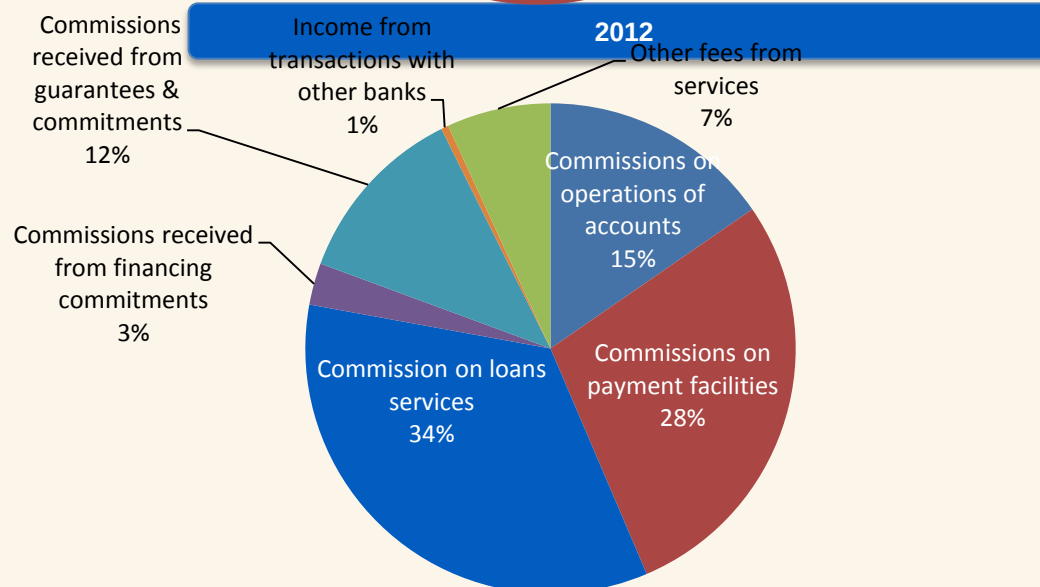
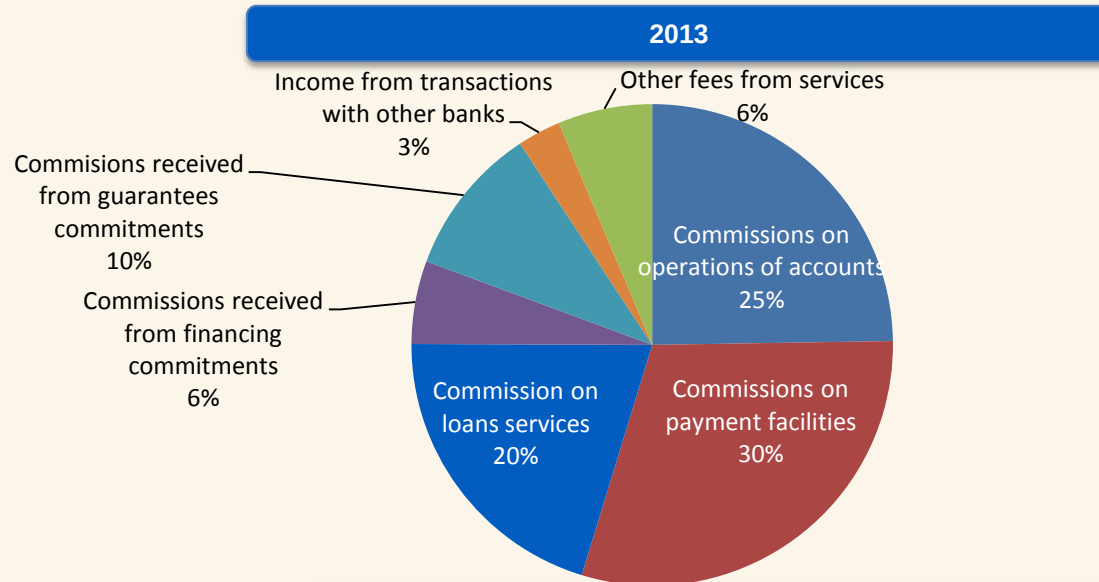
## Total Recurring Operating Costs



## Composition of Total Operating Expenses



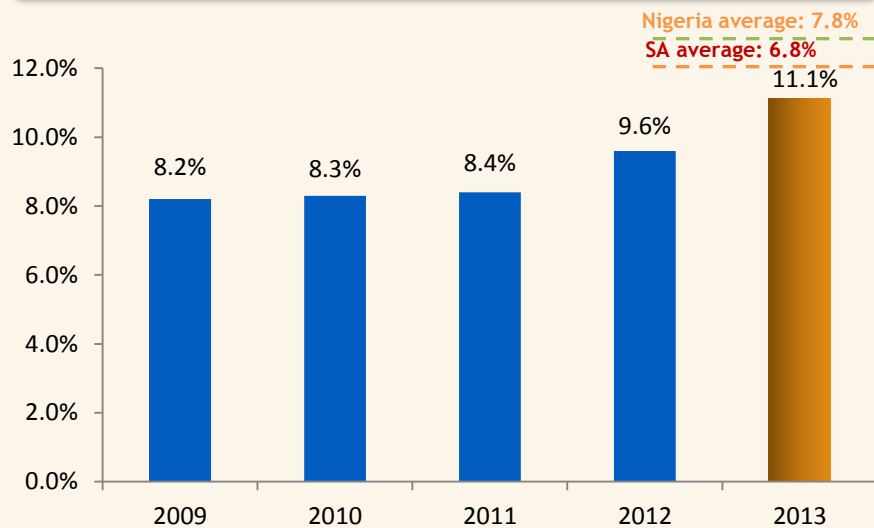
# Fees & Commission Income



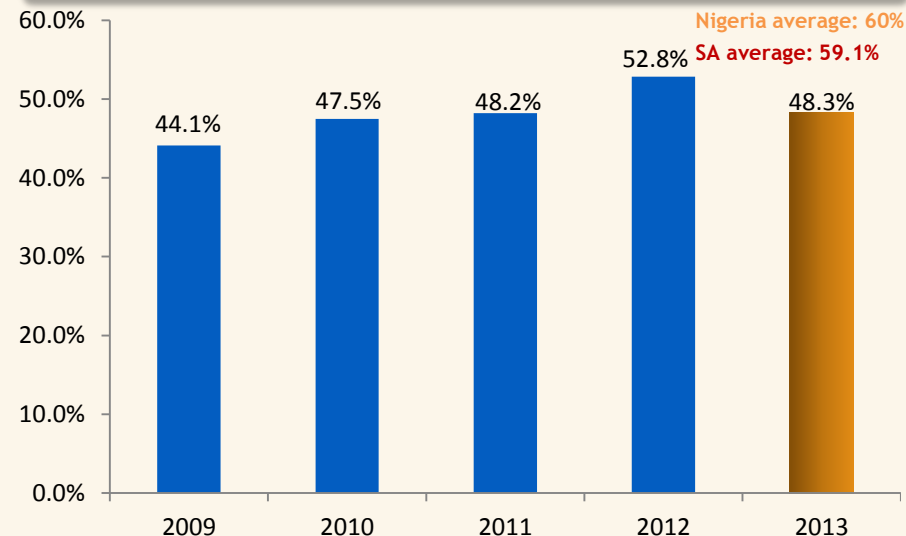


# Consistent Profitable Growth

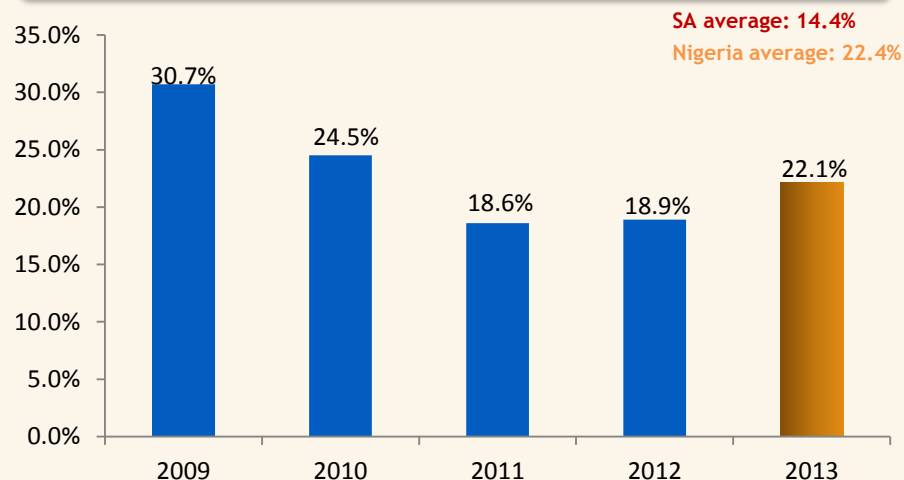
Sustainable Net Interest Margin, %



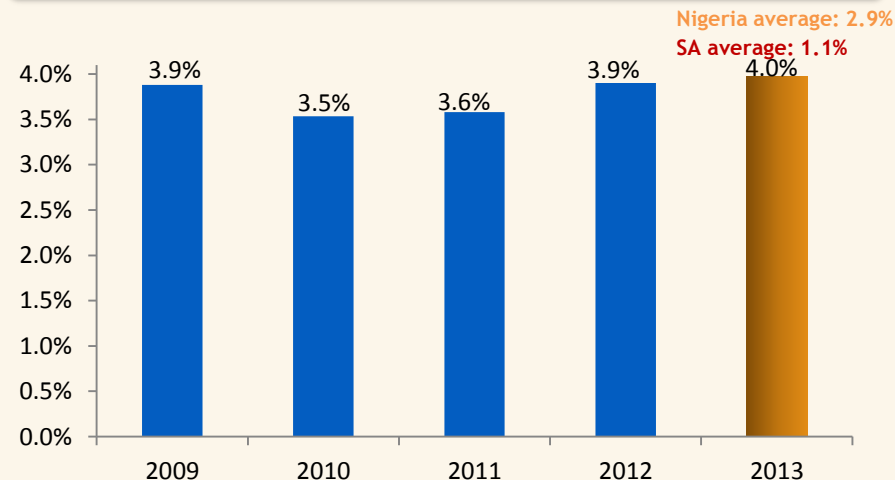
Attractive Cost/Income ratio



Stable Returns To Shareholders, %



Strong Return on Average Assets, %



Source: Bank of Kigali Audited IFRS Statements 2009-2012, 9M 2013 Reviewed Results, African Alliance Research 2012, Ecobank Research; Nigerian Banking Sector FY 2012 Review

# STRATEGIC OUTLOOK

# Strategic Outlook

## Objectives

## Strategies

## Action

## Outcomes

Customer growth in terms of current accounts – increase current accounts by 100,000 in 2014

Build a ubiquitous branch footprint throughout the country

Build sufficient channel capacity

Expand retail product offering

- ☒ Expand the branch network to 70+ branches by YE 2014
- ☒ Increase the number of ATMs, POS terminals and cards outstanding
- ☒ Build a modern and scalable mobile banking and Internet banking platforms
- ☒ Alternative client acquisition & service channels (retail chains, co-branded cards, utilities, etc)
- ☒ Flexible, offset, variable-rate, etc mortgages
- ☒ Full range of consumer loan products
- ☒ Revolving credit cards
- ☒ Payroll & pension-backed loans & overdrafts
- ☒ Modern, multi-currency current accounts with debit cards
- ☒ Ubiquity of ATMs and POS terminals in urban centers and reasonable proximity elsewhere
- ☒ Payment & e-wallet solutions
- ☒ Full range of deposit products

- ☒ Benefit from first-mover advantage outside the capital city, making it more difficult for the competitors to follow suit
- ☒ Reach out to the unbanked (but bankable) population
- ☒ Become the bank of choice and convenience for the middle class and youth entering the employment sector
- ☒ Create capacity to service 500,000+ clients
- ☒ Maximize the product-to-client ratio
- ☒ “Grow with clients”
- ☒ Valuable source of retail clients through payroll programs
- ☒ Growth of loan book and F&C income

Healthy structure & growth of balance sheet >20% growth in 2014

Increase the loan to asset ratio to 60%

Increase retail loans penetration

Consolidate the leading position in corporate banking

Increase the maturity profile of liabilities

Create a universal banking platform

- ☒ Integrated client coverage
- ☒ Leverage the superior lending capacity
- ☒ Cross-selling opportunities
- ☒ Documentary operations & trade finance, FX, other solutions
- ☒ Rep offices in EAC from 2012
- ☒ Leverage the superior access to wholesale funding to complement the deposit funding base
- ☒ Private Banking, Securities, Insurance

- ☒ Diversification of funding base
- ☒ Expand the share of higher-margin lending
- ☒ Maximise the cross-sell opportunities
- ☒ Grow the share of retail in the loan book up to 30%-40% in the medium term
- ☒ Reduce maturity gap
- ☒ Enable further expansion of long-term lending
- ☒ Further diversification of revenue streams

Earnings growth ~22%  
Return on Average Equity > 20%

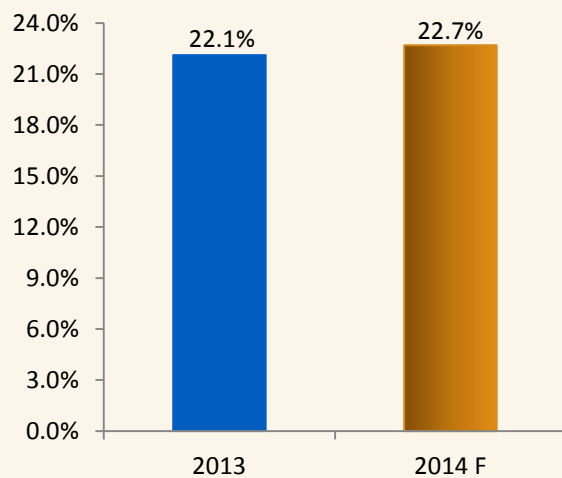
Maintain profitable growth

- ☒ Continuous improvement of risk management policies & procedures
- ☒ Disciplined capital management, medium term target CAR of 15%-17% and ROAE of 20%+, implying ROAA in the 3.5% range

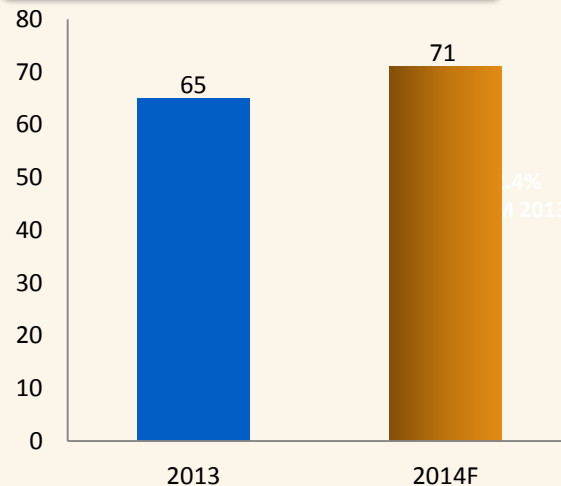
- ☒ No profitability sacrifices for the sake of market share gains
- ☒ Sensible dividend policy as the growth curve flattens out over time

# Management Targets

## Return on Average Equity



## Branch expansion



## Other Selected Management targets

- Grow net income by 20% Y-o-Y
- Grow total assets by 20% Y-o-Y
- Non funded income ratio - 40% of the total operating income
- Lower NPL ratio to less than or equal to 5%
- Increase number of retail current accounts by 100,000

# Contact Information

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Visit our website, [www.bk.rw](http://www.bk.rw), or follow us on **Scribd** to access our Investor Presentations, Press Releases and Annual Reports.

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